



Strategy: CHAMP Toolkit for Multilevel Climate Governance and Finance

Supporting the 'CHAMP Investment Pledge' delivery through guidance on policy reform, governance, investment pipelines, project aggregation and financial instruments

1. The CHAMP Toolkit - to be integrated in introduction page

Introduction

The Toolkit is designed to support CHAMP-endorsing national governments, cities and subnational governments as well as CHAMP partner organizations in delivering the CHAMP 'Investment' pledge through stronger multilevel climate governance, finance and implementation. To this end, the Toolkit will provide practical guidance to implement multilevel climate governance and coordination, improve climate-related investment planning, develop investible project pipelines and portfolios, mobilize financing and strengthen implementation systems, and scale impact through international partnerships.

In collaboration with the CHAMP secretariat and partner organizations, the Toolkit aims to serve as not only a key actionable resource within the CHAMP ecosystem¹, but also as part of an emerging implementation architecture for operationalizing Nationally Determined Contributions (NDCs) through nationally led platforms and multilevel implementation systems.

Why is this Toolkit needed and what are its objectives? - to be integrated into introduction page

Cities face an estimated USD 4.3 trillion annual urban climate financing gap to 2030 for mitigation alone. To this end, the Toolkit aims to empower CHAMP countries in delivering national climate commitments at the city level - where emissions and risks are concentrated - by strengthening the multilevel governance and investment systems needed to implement urban climate action and mobilize and redirect finance.

More specifically, the Toolkit reflects and responds to the following challenges:

¹ *Engagement with CHAMP Secretariat and specific partners to be confirmed. One envisioned modality for collaboration would be through a CHAMP Finance Working Group.*

- Although national climate commitments, such as NDCs, are increasingly recognizing the role of cities, financing and implementation of urban climate action at sufficient scale and speed remain a challenge
- Limited coordination between national and local governments, capacity gaps, and financing challenges continue to hinder the translation of urban priorities into investible pipelines and project portfolios at scale
- While a range of implementation-focused resources and tools exist, they remain fragmented and not easily accessible to nor actionable for national and subnational governments

In response to these challenges, the Toolkit will support CHAMP countries in developing stronger multilevel climate governance, investment and implementation systems. Specifically, the Toolkit will aim to:

- Strengthen enabling environments for urban climate financing and implementation across levels of government
- Improve coordination between national and subnational governments across investment planning, finance mobilization and implementation
- Support the development of investible project portfolios and pipelines that integrate urban climate priorities
- Improve access to financing instruments and mechanisms that help countries and cities in delivering urban climate project portfolios and infrastructure
- Enhance access to technical assistance, capacity building, and other relevant implementation support through CHAMP partner initiatives and networks

Part I: CORE MULTILEVEL GOVERNANCE ACTIONS

The Toolkit is organized around 6 core multilevel governance Actions outlined below. These should not be viewed as standalone stages, but as interconnected and iterative components of a broader multilevel climate governance, finance and implementation system. Together, they help national, subnational and city governments build the governance, institutional and financial capacities required for long-term climate transitions. Successful implementation depends not only on finance and project delivery, but also on sustained political commitment, institutional leadership, collaborative relationships, implementation capabilities, learning and shared ownership across levels of government.

The Action Pathways associated with each Action highlight practical governance, finance and implementation mechanisms that national and subnational governments, together with public and private sector partners, can adapt, co-develop and apply across different contexts

Action 1: Develop Shared Commitments, Political Alignment and Ownership

This Action includes guidance and tools to help national, subnational and city governments to jointly establish shared political commitment, collective ownership and long-term alignment required to support multilevel climate finance and implementation.

Systems Logic: Multilevel climate action starts with shared political commitment. Joint commitment processes can create a common mission, clarify roles across governance levels, and build the mandate, trust and institutional relationships needed for later stages of investment planning, finance mobilization, implementation and learning. In practice, they help move climate action from isolated pledges toward coordinated, network-based governance.

Action pathway:

1.1 Joint Political Commitments, Dialogues and Coalitions

Overview

What it is: Joint political commitment dialogues and coalition mechanisms provide a recurring process through which national, subnational and city governments can establish a shared vision, align climate priorities and create long-term coalitions for coordinated climate action and investment. They help create a collaborative governance arrangement to clarify institutional roles and responsibilities, aligns actors around a common mission, and establishes a shared mandate for implementation of climate projects.

Implementation Guidance: Joint political commitment processes can be implemented through the following actions:

- **Anchor city climate action in a shared mission around which commitments can be made**, with cities recognized as the core actors in the transition and agencies aligned around the same direction.
- **Build the mandate and understand the system.** The process starts by creating a strong political mandate and mapping the local system, so the commitments reflect real conditions rather than generic targets.
- **Develop the commitments around climate goals, climate action plan or roadmap and climate investment plan**, with the idea of committing to shared goals, then moving to a commitment around a potential portfolio of actions, and to a plan for how the actions will be financed.
- **Build a coalition of multilevel partners sharing commitments**, including cities, technical partners, national agencies, so the burden of implementation is shared collectively.
- **Review and renew the commitments periodically**, as part of an iterative process involving local and national governments.

Why it is needed: Joint political commitments and coalitions establish the governance foundation for subsequent investment planning, finance mobilisation, implementation and continuous learning by reducing institutional fragmentation, strengthening vertical policy coherence and fostering collective ownership of climate objectives across multiple levels of government.

Key actors: City government, national government, local businesses, civil society, public organizations, universities

Illustrative examples:

The Joint Commitment process of the Climate City Contracts (CCC) demonstrates how joint political commitment can be turned into a recurring multilevel governance arrangement rather than a one-off declaration. The contract process is built around a shared climate-neutrality mission and an annual cycle in which cities, Viable Cities and national agencies each make commitments, review progress and renew priorities. The city's role is to gather the wider transition arena, which includes a space for collaboration, coordination and dialogue among public and private actors who need to help deliver the transition and connect local action to national support. The contract itself is structured in three linked parts – climate goals, a roadmap or portfolio of actions, and a climate investment plan – so political commitment is tied to implementation planning and financing. Through a joint commitment mechanism, the Climate City Contracts process is designed to work through a broader network of businesses, academia, civil society and public organizations, helping shift municipalities from traditional governance toward a more network-based model.²

Town Hall COPs are a strong emerging example of how multilevel dialogues and commitments can help bridge local implementation with national climate strategy and planning. Launched by ICLEI Africa in 2025, the format gives local governments and communities a dedicated space to discuss climate goals, jointly review progress and identify next steps in line with national plans and global commitments. The Town Halls also bring in national government representatives (with national presence recorded at 60% of events) so local priorities could be heard directly and fed into NDC and NAP implementation. By October 2025, 18 Town Hall COPs were convened, engaging over 2000 participants, across six Sub-Saharan African countries. These participants ranged from mayors and national agency officials to the youth and civil society. **The dialogues helped develop and surface over 300 local commitments.** In South Africa, the Department of Forestry, Fisheries and the Environment became the first national government to recognise the model as a platform for inclusive national climate planning and local implementation of the NDC, Building on this endorsement, ICLEI Africa and the South African Local Government Association (SALGA) rolled out the Town Halls across the country to enable multilevel dialogues and subsequent commitments, which feed back into policy, implementation and reporting. Click [here](#) to know more about the Town Hall COPs.

Transferability

Joint political commitment mechanisms can be adapted to different governance contexts by:



- **Develop a joint political commitment and dialogue process where cities and national agencies have the capacity to coordinate and sustain the commitment.** In Sweden, the joint commitment process of the Climate City Contracts works because municipalities are powerful actors, the process is renewed annually, and the framework can be used to understand governing and supporting processes across local, regional, national and European levels.³
- **Where local capacity is uneven, start with recurring multilevel dialogue, with an ambition to move towards a full CCC-like process.** The Town Hall COPs in Africa show that a lighter, dialogue-based model can still generate commitments, national buy-in and policy inputs feeding into NDCs and NAPs.
- **Allow cities to enter at different readiness levels.** Structure the process with mandatory commitments for all cities and optional commitments that cities can join based on their readiness, as shown by the Transition Arena model. That makes transferability stronger, because it gives countries a common floor while still allowing different cities to move at different speeds and with different tools.⁴
- **Build from pioneer municipalities in context with low readiness levels.** In contexts where national coordination exists unevenly or is not strong enough to sustain long-term joint commitments, a national government help build momentum by backing a few municipalities that are already willing to move ahead, then help them work as a cluster and share experience.⁵
- **Aligning commitments with existing political and budgeting cycles** so that political commitments become part of routine government decision-making. Periodic reviews can then be used to update commitments based on implementation progress and emerging political priorities.
- **Embedding regular review and renewal processes** to maintain political ownership, strengthen accountability and adapt commitments as implementation progresses.

Enabling conditions

- **A shared long-term mission or national strategy** that provides a common direction for national and subnational governments while allowing flexibility in local implementation.
- **Political will of both national and local leadership**, ensuring that political commitments are jointly owned and can be sustained beyond electoral cycles.
- **Clearly defined institutional roles and responsibilities** so that each participating actor understands its contribution and accountability.

² Based on the interview and literature shared by Charlotte Brynielsson, Climate City Contracts

³ Ibid.

⁴ Joint commitment between cities – a tool within the Climate City Contract for accelerating the transition

⁵ Based on interview with Charlotte Brynielsson, Climate City Contracts

Recommendations for actors: national governments, cities and international partners

Action 2: Assess Enabling Environments

This Action will provide foundational assessment tools to identify and improve the policy, fiscal, data and coordination conditions needed for national, subnational and city governments to plan, access and deploy urban climate finance. It will help users diagnose barriers to climate investment readiness, including gaps in financing architecture, intergovernmental transfers, subnational borrowing, data systems, coordination, private finance mobilization and project bankability.

System Logic: Multilevel climate investment depends on enabling conditions across data, policy, budget and finance, and coordination. Assessing enabling environments can therefore help identify and improve the readiness of national, subnational and city governments to jointly plan investments, implement portfolios and pipelines, mobilize finance and build capacities. Enabling environments also shape the ability of private financial actors to identify, structure, finance and implement climate investment opportunities.

Action pathway:

2.1. National and subnational enabling environments assessments

Overview:

What it is: Assessment of enabling environments helps unpack the conditions that affect urban climate finance in specific national and subnational contexts. It examines climate policy, budget and finance, climate data, and vertical and horizontal coordination, then translates the findings into recommendations, reform priorities and, where relevant, roadmaps or blueprints for follow-up action. The national tool is aimed primarily at national officials, while the subnational tool is designed for cities and other subnational governments; the two are meant to be used together where possible so the enabling environment can be assessed across levels of government.

Implementation Guidance: An assessment of enabling environments at the national or subnational level entail the following activities:

- Identify key government partners and define the scope of the assessment, including the relevant government levels and institutions.
- Collect evidence through policy and document review, interviews, focus groups and data inventory.
- Convene multistakeholder workshops to validate findings, fill gaps and test the analysis in context.
- Translate the results into follow-up actions, including roadmaps or blueprints to address the identified gaps.

Why it is needed: Multilevel climate investment depends on enabling conditions being in place across data, policy, budget and finance, and coordination – yet these are often weak, uneven or invisible to decision-makers, leaving national, subnational and city governments unsure where the readiness gaps lie. To this end, enabling environment assessments surface where those conditions fall short, consolidate them into a comparable readiness profile, and channel the findings into concrete reforms, so the diagnostic feeds directly into investment planning, finance mobilisation and implementation rather than remaining a standalone report.

Key actors: National and subnational governments lead the assessment, supported where needed by technical partners, project preparation facilities, city networks and NGOs.

Illustrative examples:

National Enabling Framework Conditions (EFC) Tools offer a practical way to assess a national government against four key dimensions – policy, budget and finance, climate data, and vertical and horizontal coordination. These categories are further broken down into 16 sub-categories that include 64 assessment dimensions. The dimensions help identify priority areas for reform, and the process includes identifying stakeholders, collecting evidence, holding consultations, preparing results and identifying follow-up actions. The tool was piloted in India and Indonesia, making it a strong EMDE reference for how national enabling conditions can be assessed and translated into reform.⁶

- **The India pilot (2024)** illustrates how the national tool works in practice. The pilot was led by GIZ, alongside the Indian Ministry of Housing and Urban Affairs, the National Institute of Urban Affairs and The Energy Research Institute. It included a desk review with seven stakeholder interviews and two roundtables in New Delhi attended by **more than 80 participants**. The findings on the four dimensions included gaps in local institutional mandates, own-source revenues and borrowings, city-level climate data and coordination between state and local governments. Each gap points to a specific reform – broadening grants from the national finance commission to support climate action, for instance, or issuing city climate action plan guidelines under national missions. Another pilot in Indonesia runs the same tool with the national planning ministry (Bappenas) and pilot cities including Padang and Medan. By feeding directly into partners' capacity-building work with government stakeholders rather than sitting as a standalone report, both pilots turn the assessment into an input to reform. Click [\[here\]](#) to know more about the pilots.

Subnational Enabling Framework Conditions (EFC) Tool mirrors the same logic as that of the national tool, but is adapted for a specific city, metropolitan area, state or region depending on context. It is organized around 49 dimensions in four categories and 13 sub-categories. The tool walks users through a similar workflow –

⁶ <https://citiesclimatefinance.org/publications/assessing-enabling-framework-conditions-for-urban-climate-finance>

define the scope, gather evidence through document review and interviews, convene workshops to validate findings, and then turn the results into roadmaps or blueprints.⁷

Transferability

The EFC Tools provide a standardised approach, but applying them in a new jurisdiction requires tailoring to context rather than direct replication:

- **Adapt the assessment methodology to context.** Where subnational climate, fiscal and governance data are limited, lean on interviews and policy review – as the India pilot did with its desk review and seven stakeholder interviews – while reflecting the real intergovernmental relationships in play where mandates are unclear, and calibrating the access-to-finance analysis to the actual depth of local financial systems and intermediation.
- **Deploy the National and Subnational Tools together,** so a new jurisdiction is assessed as a coherent multilevel system rather than at a single level in isolation, with the national baseline framing the subnational diagnosis, as in the India and Indonesia pilots.
- **Secure access to stakeholders and source documentation** for the data-collection, inception and validation steps – the policies, budgets and officials the process depends on – much as the India pilot used its two New Delhi roundtables to confirm findings.
- **Ground the assessment in government ownership and existing planning and budget cycles,** so its recommendations are taken up as live reforms; in India, the gaps mapped directly onto instruments already in use, such as Central Finance Commission grants and NMSH 2.0, rather than requiring new mechanisms.
- **Identify technical partners** to run the workshops, interpret the scored dimensions and translate findings into roadmaps, as GIZ did alongside MoHUA, NIUA and TERI in the India pilot.

Enabling conditions

- **Availability of governance, financial and climate-related data,** since the depth of accessible data bounds what any assessment can conclude, and strengthening subnational climate data is itself one of the four EFC dimensions.
- **Institutional capacity and technical assistance** to undertake the assessment and interpret findings – frequently a precondition rather than an optional add-on where in-house capacity is limited.
- **Coordination across national ministries, subnational governments and stakeholders,** which the inception and final workshops are built to secure and which is itself a scored EFC dimension.

⁷ Ibid.



- **Political ownership and a mandate to act on findings**, so recommendations are taken up rather than shelved – the reason the India pilot convened 80+ stakeholders in policy roundtables.
- **Alignment with existing policy, fiscal and financing frameworks**, so reforms can be channelled through intergovernmental transfers, finance-commission grants and municipal budgeting rather than through entirely new mechanisms.

Action 3: Institutionalize Multilevel Governance Frameworks and National Platforms

This section will include guidance and tools to help national, subnational and city governments to institutionalize long-term multilevel governance by building coordination capabilities, strengthening institutional arrangements and creating the investment and implementation capacities needed to sustain climate transitions.

Systems Logic: Institutionalizing multilevel climate investment is fundamentally about building long-term implementation capacity rather than creating one-off coordination mechanisms. Iterative coordination frameworks can help develop governance capabilities across institutions. These could be supported by nationally led coordination platforms capable of aligning governance, financing, project preparation, implementation actors and investment priorities across levels of government and the private sector, along with intermediary units for day-to-day coordination, monitoring, accountability and feedback loops. These arrangements also help strengthen institutional memory, leadership, trust, learning and feedback loops across organizations.

Action pathways:

3.1 Overarching, Iterative Coordination Mechanisms

Overview

What it is: An overarching, iterative coordination framework provides the institutional architecture through which national, subnational and city governments, together with financial institutions, infrastructure providers, project developers and other implementation partners, can coordinate climate action and investment over the long term.

Implementation Guidance: It operates through recurring cycles of joint planning, investment prioritisation, implementation, monitoring and learning, enabling stakeholders to continuously coordinate actions, address implementation barriers and refine priorities as circumstances evolve

Why it is needed: An iterative framework can help build long-term institutional relationships – strengthening implementation capacity and creating continuous feedback loops between planning, financing and delivery. Implementing such a framework can help governments sustain climate transitions over time, rather than having one-off coordination or consultations.

Illustrative examples:

Climate City Contracts (CCCs) illustrate how an overarching, iterative coordination framework can support long-term multilevel climate governance. The Climate City Contract is not simply a signed agreement, but an annual governance process through which cities,

national government agencies and Viable coordinate climate action by bringing together public authorities alongside businesses, academia and civil society. The process helps strengthen coordination capabilities across governance levels, builds long-term institutional relationships and continuously adapts implementation based on experience and emerging priorities

Other examples from CHAMP countries [TBD]

Colombia's⁸ Strategic Committee on Cities and Climate Change illustrates how an overarching, iterative coordination framework can support long-term multilevel climate governance. Co-hosted by the national government and WRI, the committee is not a one-off convening but the institutional architecture through which national authorities, subnational and city governments, and partners such as NGOs and funders coordinate climate action and investment over time. It operates through recurring cycles: a biannual forum brings these actors together to review city climate plans for alignment with national commitments such as Colombia's updated NDC and long-term strategy (E2050), identify active projects and synergies, prioritise high-impact and feasible measures, and connect them to enabling mechanisms – for example the Corridor of Climate Financing, a platform led by the National Planning Department that links climate projects to funders and provides support. By convening the same actors repeatedly rather than through one-off consultations, the framework builds long-term institutional relationships, strengthens implementation capacity and creates continuous feedback loops between planning, financing and delivery, helping the country address persistent political, financial and technical barriers and sustain its climate transition as circumstances evolve.

Transferability:

- **Adapting coordination frameworks and processes to the country's governance systems**, enabling countries and cities to define governance relationships, supporting processes and coordination arrangements that reflect their own institutional context. In centralized systems, a national ministry could lead coordination, while decentralized may distribute coordination responsibilities across regional or state governments working alongside cities.
- **Building on existing coordination mechanisms**, such as climate or NDC units, national platforms, subnational climate cells or sectoral coordination bodies, rather than creating parallel institutions.
- **Applying the coordination mechanisms progressively**, where countries with limited institutional capacities may begin with simpler multistakeholder dialogues and progressively institutionalize recurring coordination processes as governance capabilities develop.

⁸ <https://www.wri.org/technical-perspectives/inside-colombia-climate-plan-2025-nationally-determined-contribution>

<https://www.wri.org/update/how-multilevel-action-advances-colombias-economic-transformation-and-climate-goals>

Enabling conditions:

- **Long-term political and institutional leadership** to sustain collaboration, coordination and implementation across electoral and funding cycles.
- **Clearly defined governance relationships, roles and supporting processes** that enable actors across governance levels to coordinate effectively within their own institutional context.
- **Regular coordination forums, learning processes and feedback** mechanisms that enable actors to share knowledge, coordinate actions and continuously refine implementation.

3.2. National Platforms

Overview

What it is: In the context of CHAMP, national platforms are best understood as nationally owned and led initiatives for long-term coordination and implementation of climate action. Their purpose is to align political leadership, sectoral planning, finance and implementation around a shared national strategy, while creating a dedicated space for subnational governments, cities, development partners and other actors to work through priorities together. These platforms can be designed to bring urban and subnational priorities into the core of the process, so cities are not treated as downstream implementers but as co-shapers of priorities, pipelines and delivery arrangements. A useful way to think about them is as an enabling architecture for moving from fragmented, project-by-project action to a more programmatic, systemic approach.

Implementation Guidance: National coordination platforms can be implemented as part of a phased, iterative process that moves from whole-of-government ownership and subnational engagement to program readiness, investment pipeline development, finance mobilization and adaptive implementation. This process could include:

- Start with whole-of-government ownership and subnational entry points, where national leadership sets the mandate, while engagement with cities and regions brings urban priorities into the platform.
- Align sectoral priorities and planning across national and subnational climate goals and governance levels.
- Use the platform to support cities in developing local climate action plans and identifying project pipelines, mobilize technical assistance and enable financier matchmaking.
- Coordinate with financial institutions, including NDBs, MDBs, local commercial institutions and climate funds to channel concessional and innovative financial instruments targeting local and subnational governments
- Lead multi-level and multi-stakeholder dialogues to strengthen local data systems, promote peer learning and capacity building, and monitor implementation of programs and projects.

Why it is needed: Cities and subnational governments often face misalignment with national climate and development priorities, limited entry points into decision-making, weak project pipelines, and fiscal and creditworthiness constraints that make climate finance hard to access. To this end, a national platform creates a space for local and national actors to align policies, pipelines and finance across levels of government so urban climate action can move from fragmented projects to a more programmatic delivery model.^{9,10}

Illustrative examples

Viable Cities demonstrates how a nationally anchored platform can turn climate ambition into an ongoing multilevel implementation architecture rather than a one-off coordination exercise. In Sweden, Viable Cities works with **48 cities and six government agencies** and coordinates the country's participation in **CHAMP**.¹¹ Through the **Climate City Contract** approach, Viable Cities helps align municipal commitments with national support, shared learning and implementation capacity.¹² The platform's value lies in that continuity – it connects local priorities to a national mission, creates a common framework for collaboration and implementation, and helps keep governance, planning and implementation moving together over time. Click [here](#) to know more about Viable Cities.

citiES 2030 is a strong example of a nationally anchored, multilevel and multi-stakeholder coordination platform that helps turn climate mission goals into implementation support for cities. It brings together cities, public sector actors, private sector partners, academia, civil society and citizens, and it works across European, national and local levels within the EU Cities Mission and Adaptation Mission.¹³ The platform provides services for learning and capacity building, **Climate City Contract development**, and the implementation of interconnected project portfolios and multi-city collaboration.¹⁴ In Spain, that support has helped five cities submit their Climate City Contracts and receive the EU Mission Label, showing how a platform can connect national coordination with concrete city-level implementation.¹⁵ Click [here](#) to know more about citiES 2030

Tanzania's Integrated National Financing Framework (INFF) is a useful example to illustrate how a nationally led platform can be adapted across levels of government when it is paired with local ownership, iterative strategy-building and robust international cooperation for public and private finance. Rolled out on the mainland and in Zanzibar, the process aligned financing and development planning, broke silos within the Ministry of Finance and Planning, and used pilot dialogues with LGAs to surface locally appropriate financing solutions and bankable projects. INFF has demonstrated visible early results in Tanzania. Zanzibar's revenue collection system is now used by 10 of 11 regional administrations,

⁹ [WRI Financing Country Platforms](#)

¹⁰ [CCFLA Integrating Urban and Subnational Priorities into Country Platforms](#)

¹¹ <https://viablecities.se/sverige-gar-med-i-champ/>

¹² <https://viablecities.se/en/48-klimatneutrala-stader-2030/>

¹³ <https://cities2030.es/en/>

¹⁴ <https://cities2030.es/en/servicios/>

¹⁵ <https://cities2030.es/en/>

Zanzibar launched a USD 450 million sovereign sukuk, Tanga issued a USD 20.5 million water green bond, four SDG-aligned corporate bonds totalled USD 380 million, a USD 60 million road infrastructure bond to was issued to empower local contractors. Further, Zanzibar's redesigned SDG Investor Map helped mobilize USD 5.5 million. Moreover, in coordination with national government via multilevel dialogues, Tanzanian cities like Dodoma have started developing their own local frameworks targeting local challenges and opportunities, such as improving local revenues. Click [here](#) to know more.

CCFLA's Urban-Inclusive Country Platforms Framework provides guidance on how a nationally led platform can be designed to systematically integrate cities and other subnational actors into climate finance and implementation systems. The framework is built around the barriers that often keep urban priorities out of country platforms - misalignment between national and subnational priorities, weak project pipelines, limited fiscal capacity and creditworthiness, and the absence of city-focused instruments - and responds with a phased roadmap from initial engagement to program readiness, investment programming, financing and implementation. Implementing the framework by national governments would allow for regular engagement with subnational leaders, inclusion of urban ministries and local representatives in coordination structures, support for local climate action plans and project pipelines, aggregation of smaller urban projects, and use of concessional, blended and de-risking tools through intermediaries such as national development banks and local financial institutions. Click [here](#) to know more about the framework.

Transferability

- **Host the national platform within suitable institutions according to the governance context.** Depending on the level of decentralization and governance arrangements, the platform may be coordinated by a group public and institutional partners, such as Viable Cities, a ministry-led multi-stakeholder platform such as citiES 2030, or a country-led financing framework that is designed to work across national and subnational levels, as in Tanzania.
- **Adapt the platform functions and mandates to national priorities and capacities.** Countries can prioritize different functions, from initial engagement and program readiness to investment planning, financing and implementation, and adjust the operations of the platform to match their challenges and ambitions.
- **Bring cities into the platform through mechanisms that fit the governance system.** In settings with high local capacities, city mobilization can be direct, as in Viable Cities' Climate City Contracts. In less capacitated contexts, city mobilization can be routed through national processes while local governments build their own capacities and frameworks over time and continuously engage the national government through multilevel dialogues, as in Tanzania.
- **Adopt an iterative, learning-by-doing approach** where the prioritized strategies and initiatives could first be tested before a full roll-out, especially in context where institutional capacities are limited, as in Tanzania.



Enabling conditions

- Strong national leadership mandate, cross-government commitment and durable support from a wider political and social base.
- Regular consultation with subnational leaders, sectoral working groups, and clear channels for cities to feed into national planning
- Institutional capacity and continuity, including a capable coordinating team, clear roles, and sustained staffing, resources and institutional support over time.
- Subnational readiness, including subnational and city-level climate and financial plans, data, and support to develop investable pipelines and integrate climate into budgets
- Participation of national and multilateral development banks and the private sector to support through innovative, catalytic and concessional finance.

3.3. Intermediary Coordination, Facilitation and Accountability Function

Overview:

What it is: An intermediary coordination function is a dedicated, trusted unit that helps move multilevel climate commitments from agreement to implementation. It sits between participating institutions and provides shared capacity for analysis, facilitation, strategic alignment, monitoring and learning.¹⁶

Why is it needed: The implementation of climate projects often spans siloed institutions with different mandates, resources and decision cycles. To this end, intermediary coordination functions are needed to avoid siloes, align mandates and help sustain coordination beyond specific projects, programs or funding cycles. They also help create institutional memory by through by enabling recurring coordination, documentation of processes and feedback loops, enabling strong institutional relationships, accountability and progressively improving multilevel climate governance system.

Implementation Guidance: The function implements the following activities:

- Align the mandate of initiatives and policies across governance levels.
- Lead day-to-day convening of government departments, programs and partners around shared priorities, activities and milestones
- Analyse the progress of projects, programs and policies that are coordinated across multilevel actors, to identify gaps and improvement needs
- Identify local needs and connect them with national agency work and relevant international processes
- Support accountability making commitments, progress and gaps more visible through regular review, monitoring and coordinated action plans

Illustrative examples:

¹⁶ Based on the interview with Charlotte

Samordningsfunktioner:

Sweden's *Samordningsfunktionen* (Coordination Function) within the Viable Cities programme demonstrates how a dedicated intermediary unit can strengthen multilevel climate governance by providing continuous operational support to the Climate City Contract process. It performs three complementary activities¹⁷:

- Analysing Climate City Contracts to identify local and regional needs alongside opportunities to accelerate implementation,
- Facilitating collaboration between cities, national government agencies and other partners
- Aligning the Climate City Contracts processes with national initiatives and the EU cities missions

Through these activities, *Samordningsfunktionen* enables a recurring cycle of analysis, joint development, local implementation and renewal, while helping national agencies strengthen their capacity to respond to local transition needs.

Other examples from CHAMP countries [TBD]

Morocco's ¹⁸ 4C Maroc (Competence Centre for Climate Change) demonstrates how a dedicated intermediary unit constituted as an independent competence centre – rather than a line directorate within a ministry – can strengthen climate governance by acting as a neutral, multi-stakeholder platform. Formally established in 2016 as a public-interest group, and with a membership organised into four "colleges" spanning public institutions and local authorities, the private sector, research and training bodies, and civil society, it performs three complementary activities:

- Strengthening the capacities of national actors across the climate agenda,
- Capitalising knowledge on vulnerability, adaptation, mitigation and climate finance, and developing decision-support tools such as climate databases and vulnerability indicators,
- Convening dialogue and coordination among diverse stakeholders while supporting the national greenhouse-gas monitoring system that underpins Morocco's UNFCCC reporting.

Through these activities, 4C Maroc performs the convening, facilitation, capacity-building and monitoring functions of an intermediary unit while remaining institutionally distinct from any single ministry, extending its reach through regional and pan-African outreach.

Transferability:

- **Anchor the function in existing institutions and systems**, such as a ministry, national agency, climate platform, local-government association, city network or

¹⁷ Climate City Contracts presentation shared by Viable Cities, and interview with Charlotte

¹⁸ <https://weadapt.org/knowledge-base/national-adaptation-planning/competence-centre-for-climate-change-in-morocco-4c-maroc/>

research body, and connect it to existing climate, intergovernmental, planning and budget processes rather than creating a parallel institutional structure.

- **Scale its functions to capacity and implementation needs.** In lower-capacity contexts, begin with convening, issue tracking, documentation and implementation support. Functions such as analysis, governance diagnostics, policy and finance alignment, monitoring, knowledge management and adaptive learning can be added as needs and capacities evolve.
- **Maintaining clear institutional boundaries.** The intermediary function should focus on analyses, facilitation and brokering alignment, while governments, financial institutions and delivery organisations retain their formal mandates and decision rights.

Enabling conditions:

- A clear mandate, senior political and institutional sponsorship, and trust from national and subnational actors.
- Dedicated staffing covering facilitation, policy, finance, implementation, data analysis and knowledge management.
- Access to relevant implementation data and decision-makers, supported by common milestones, reporting routines and channels for resolving barriers and institutional frictions unresolved barriers
- A recurring coordination and learning cycle linked to public planning, budgeting and implementation processes.
- Organisational cultures that permit experimentation, reflection and adjustment.

Action 4: Jointly Prioritize, Plan and Prepare Investment Portfolios

This section will include guidance and tools to support national, subnational and city governments in jointly planning climate investments, preparing projects and developing coordinated urban climate investment pipelines.

Systems Logic: Climate-related investment planning, portfolio development and project preparation are linked steps in turning shared priorities into investment-ready pipelines. Joint investment planning helps identify investments priorities, portfolio development bundles the projects and related governance, regulatory and policy measures into a coherent package; and project preparation facilities then help project pipelines become bankable. Across all of this, coordination, orchestration and technical assistance are what keep the portfolio moving and reduce fragmentation across levels of government.

Action pathways:

4.1. Joint Climate Investment Planning and Budgeting

Overview

What it is: Investment planning and budgeting are complementary activities that provide a recurring process through which national, subnational and city governments can translate shared climate goals into investment priorities, sequencing, responsibilities and indicative resource requirements. Joint investment planning helps identify which climate investments are required, who is expected to deliver and finance them, when they should occur, and how funding gaps and risks will be addressed. Once the investments are identified and planned, climate budgeting then involves integrating priority projects into operating and capital budgets of a municipality or higher levels of government, assigning implementation responsibilities and tracking delivery through the regular budget cycles. When undertaken jointly by national, subnational and local governments, these activities can help align local investment needs with national policies, funding programmes and fiscal decisions – strengthening coordinated climate action across levels of government.

Why it is needed: Climate action plans may often set out actions without a clear understanding of their costs, financing responsibilities or links to regular budget decisions, which may contribute to the planning-to-investment gap faced by climate projects. Joint climate investment planning and budgeting can therefore help align priorities across levels of government, identify financing needs and gaps and embed agreed investments into routine operating and capital budgets so that climate commitments are translated into coordinated implementation.

Key actors: National and subnational finance and planning ministries or departments; city finance and sector departments; utilities and public agencies; and other private and community actors responsible for funding or delivering priority investments.

Implementation guidance

National, subnational and city governments can work with relevant public, private and community actors through an iterative which includes the following sequenced actions:^{19,20,21}

- **Strengthen understanding of what constitutes a climate investment**
- **Embed climate priorities into local plans and project concepts** and align them with national climate strategies, including NDCs and NAPs,
- **Map existing climate expenditure**, including planned projects, available funding sources, institutional roles and financing gaps against climate plans.
- **Develop a plan** showing which projects can be funded using public budgets and which ones would need to be financed
- **As part of the plan, identify which actors will finance, regulate and deliver each priority investment across levels of government.**
- Incorporate the climate investment plan into long-term financial plans of levels of government

¹⁹ <https://viablecities.se/en/klimatneutrala-stader-2030/klimatinvesteringsplaner/>

²⁰ Presentation: Climate City Contracts & Joint Commitments between Cities

²¹ https://www.c40knowledgehub.org/s/article/Climate-budgeting-framework?language=en_US

- **Identify innovative financing mechanisms and private sector partnerships** to bridge any investment gaps

Illustrative examples

Climate City Contracts investment planning approach. The climate investment-planning component of Sweden's Climate City Contracts involves four key steps: 1) develop a city-level emissions and climate risks baseline and make forecasts, 2) identify climate actions that could help lower emissions and climate risks, 3) develop an implementation roadmap for identified climate actions and 4) identify which projects will be funded by public budgets and where additional financing will be needed; map financing actors and explore innovative financing mechanisms accordingly.²²

- **Climate City Contract Investment Plan of the Hague:** The city of the Hague has the ambition to be climate-neutral in 2030. The current budget for climate and transition initiatives totals EUR 198.1 million for the period 2024-2027. The Climate Investment Plan of the Hague identifies its investment baseline and barriers, cross-references its existing municipal budget with its sectoral climate action priorities, estimates the gap between current allocations and total capital needs, and examines stakeholder shares, financing sources, implementation and investment risks and delivery arrangements. Its plan therefore connects its climate priorities with both the municipal planning and budget cycle and investment beyond the municipality.²³

C40 Climate Budgeting Framework (CBF). The CBF helps cities in developing, implementing, and adopting a credible and robust climate budgeting process, setting out guidance for the budgeting process and output.²⁴ It treats climate budgeting as a recurring governance process that connects climate action plan targets to annual or cyclical delivery plans, covers both operating and capital budgets, requires ownership by the finance function and cross-departmental teams, assigns implementation responsibilities and embeds monitoring and learning into the ordinary budget process. Further guidance by C40 highlights [how to get started on a robust and credible climate budget](#). This includes securing political commitments from the city leadership and using the climate budget to have multilevel dialogues with the national government to support investment into priority projects.

Transferability considerations

- **Adapt to the governance context.** Map where the city planning, budgeting and investment authority sits, and tailor the connections between local, regional and national processes accordingly. In more centralized systems, national or regional finance authorities may lead the investment planning and budgeting process while cities may provide locally grounded investment priorities and implementation evidence.

²² <https://viablecities.se/en/klimatneutrala-stader-2030/klimatinvesteringsplaner/>

²³ The Hague [Climate Investment Plan](#) as part of the city's Climate City Contract

²⁴ [C40 Climate Budgeting Framework](#)

- **Develop progressively and expand the scope over time.** Lower-capacity governments can begin with climate-aligned budget tagging²⁵, a priority investment register, and basic mapping of costs, responsibilities and funding gaps. As data and capacity improve, the process can incorporate more advanced investment planning that extends beyond municipal assets to utilities, households, businesses and regional or national infrastructure.²⁶

Enabling conditions

- **Sustained political and administrative mandate.** National, subnational and city leaders must authorise the investment planning and budgeting processes, connect it to agreed climate goals and sustain it across annual budget and electoral cycles.
- **Clear roles, responsibilities and decision pathways.** Governments need agreement on who identifies, funds, approves, implements and monitors investments—including the respective responsibilities of national, subnational and local authorities and external actors.
- **Integration into existing financial planning and budgeting processes covering both operational and investment responsibilities²⁷**
- **Monitoring, accountability and review.** Responsibilities, expenditure and delivery should be monitored through ordinary budget and operational reporting, with findings used to update priorities, funding assumptions and future budgets.

Recommendations for actors: national governments, cities and international partners

4.2. Portfolio and Pipeline Development

Overview:

What it is: Portfolio and pipeline development involves translating agreed climate priorities into a coordinated portfolio of interventions and progressively identifying and preparing the investible projects that emerge from it. A portfolio can package projects with enabling policy, governance, procurement, capacity and implementation measures around a common mission, through coordination and aggregation across city, regional and national levels. While not every portfolio intervention needs to be investible from the outset, portfolios can generate a pipeline of projects and investment opportunities that can then be prepared for financing.²⁸ Therefore, portfolios represent a promising approach to crowd in finance and move from investment planning toward implementation.²⁹

Why it is needed: A project-by-project approach is often insufficient to scale climate investment and implementation. Countries and cities need a portfolio of interventions, with a

²⁵ See the [UNDP guidance for governments](#) in developing countries on climate budget-tagging

²⁶ See for example, [Eindhoven-Helmond Climate Investment Plan](#) as part of the Climate City Contract

²⁷ Highlighted by Charlotte Brynielsson during the interview.

²⁸ Interview with Olle Dierks

²⁹ [Project Bank of the Green and Resilient Cities Program \(PCVR\)](#)

pipeline of well-prepared projects, integrated with enabling regulations, governance functions, procurement, financing and implementation pathways. This can help turn individual initiatives into a well-connected, sequenced and bankable package of interventions. This way, a portfolio approach could make the path from concepts to implementation clearer and more visible for financiers and investors.

Key actors: National and subnational governments, city planning and finance teams, utilities and infrastructure owners, PPFs, financiers and investors, private sector and civil society partners, and an orchestration team or intermediary able to hold the portfolio together and keep the process moving.

Implementation guidance

Developing investible portfolios and pipelines entails the following process that multilevel actors can utilize³⁰:

- **Start with an investment plan** that reflects the shared climate mission, goals and the types of interventions the governments want to move forward.
- **Group mutually reinforcing interventions into a portfolio with a clear theory of change, sequencing logic and responsible multilevel actors.** Enabling regulations, procurement, governance, finance and implementation should be built into this portfolio.³¹
- **Building on the investment plans, develop a pipeline of high potential projects within the portfolio.**³² Assess projects' technical and financial readiness and develop pipelines around projects with the strongest potential for investment, implementation and impact.
- **Connect the emerging pipeline to project preparation facilities (PPFs) and use related project preparation tools to develop an investible pipeline.** Bringing PPFs in early can enhance the pipeline's bankability through tailored technical assistance and investment matchmaking across project stages and sectors.
- **Where common needs emerge across cities, use the pipeline to inform national investment priorities and financing programmes.** This is particularly important for CHAMP as local portfolios can surface thematic opportunities – such as local energy systems – that national governments or agencies can support across several cities.³³

Illustrative examples:

System Demonstrators provide a systematic way for governments and funders to move beyond individual projects toward mission-driven urban transition portfolios. Rather than starting with a predefined list of projects, participating cities define a shared mission, map the

³⁰ See "A blueprint for Designing, Funding and Scaling System Demonstrators for Climate Transition in Cities [forthcoming]"

³¹ Interview with Olle Dierks

³² This is based on the understanding that a portfolio packages pipelines together with enabling frameworks, policies and regulations, and includes governance and implementation-focused activities.

³³ Interview with Olle Dierks

system and structural barriers, convene relevant public, private and civic actors, and develop a coordinated portfolio of interventions across areas such as governance, infrastructure, regulation, procurement, finance, behaviour and technology. Not every intervention needs to be commercially investible; through implementation and learning, the portfolio can progressively surface projects and wider investment opportunities that are ready to move into project preparation and financing pipelines. In Lund, for example, a broader energy and mobility portfolio helped identify local energy systems as an emerging investment area, with EnergyNet representing one opportunity for further financing and implementation.

System Demonstrators Grant Calls

The grant calls operationalize System Demonstrators by setting the funding rules, eligibility and governance for who can apply and what they must show at each stage. The grant calls follow a phased approach – cities first apply through a design stage, then consortia that complete the planning deliverables and meet the readiness criteria could access implementation funding. Viability Fund for Cities is now using this logic to explore internationally coordinated grant calls with shared principles and eligibility criteria across regions.³⁴

To know more about the upcoming System Demonstrators Grant Call, click [here](#).

PCVR project bank: The Green and Resilient Cities Program project bank is a good pipeline-coordination example because it was created as a demand-mapping tool with two functions: it gives an ecosystem overview of urban project development in Brazil and acts as a coordination platform that consolidates projects at different stages into one place, improving visibility and opening pathways to technical assistance, finance and implementation. This makes it a strong example of how a pipeline can be originated, and actors can be coordinated to move the pipeline towards financing and implementation.³⁵

Find out more about the PCVR [here](#).

CCFLA Project Preparation Resource Directory: The Directory helps subnational governments and stakeholders identify project preparation facilities that can support them in developing green and resilient infrastructure, including implementing more efficient heating and cooling systems, building renewable energy, setting up sustainable transit, or climate-proofing resilient infrastructure. Users can filter information by region, country, sector, project stage etc. to find the right PPFs for their project needs. To access the directory, click [here](#).

NDC Partnership - Project Preparation Support Database: It is a searchable database of international, regional, national, and sub-national Project Preparation Facilities (PPFs) focused on supporting the preparation of climate-aligned projects, as well as incubators and

³⁴ Meeting on grant call framework for urban system demonstrators, 21 May 2026

³⁵ [Project Bank of the Green and Resilient Cities Program \(PCVR\)](#)

accelerators focused on supporting climate-aligned businesses. To learn more about this tool, [click here](#).

Box: What are Project Preparation Facilities?

Project Preparation Facilities (PPFs) are organizations, initiatives, or institutions that support cities in developing bankable, investment-ready projects, typically from a project's concept, design, or scoping stage up to the financial close. A PPF may provide technical and/or financial support. PPFs can provide a wide range of support depending on a project's stage and sector. The overarching goal of PPFs is preparing bankable, or investment-ready, projects. A project is bankable, whether from public or private sources, when its risk-return profile meets investors' criteria. Key criteria include the probability of success, sufficient estimated cash flows to cover costs and produce returns that meet investor expectations, and whether the project will be implemented by a creditworthy entity.

ICLEI and Gap Fund - Capacity Development Toolkit for Early-Stage Project Preparation:

This toolkit brings together 12 practical tools and templates developed and tested through the Gap Fund Step-Up Project, led by ICLEI with the City Climate Finance Gap Fund. Co-created with cities in Africa and South America, it helps city officials, project managers and technical partners identify capacity and data gaps, map stakeholders and risks, build basic financial models, test PPP options, apply behavioural and systems-thinking approaches, and chart a path from pre-feasibility to bankability. Each tool comes with step-by-step guidance and downloadable templates that can be adapted for local use and training. To access this toolkit, click [here](#).

Urban-Act - Early-Stage City Climate Project Bankability Diagnostic Tool: The tool is designed to support cities during the early stages of project preparation, from concept to pre-feasibility by applying a project finance lens to improve project viability and financeability. It offers tailored checklists across six thematic investment areas to identify bankability gaps and finance-readiness issues, along with practical sector-specific recommendations to strengthen project design, financial viability, and access to climate finance. To know more about the tool, click [here](#).

SOURCE is a project-preparation software platform. A joint initiative of the multilateral development banks coordinated by the not-for-profit Sustainable Infrastructure Foundation, SOURCE uses standardised, sector-specific question sets covering the full project lifecycle—aligned with the SDGs and the Paris Agreement—to help governments define, develop and manage sustainable infrastructure projects consistently and transparently, with the aim of improving bankability, crowding in private finance and strengthening public-sector capacity. Its functionality includes portfolio and project monitoring dashboards, document and task management, consistency checks, a Project Preparation Facilities Finder and a public pipeline for project promotion, and it is used in more than 50 countries, including many CHAMP endorsers. The case demonstrates how a shared digital tool can standardise and de-risk project preparation across governments while linking prepared projects to preparation facilities and financiers. To access SOURCE, click [here](#).

Findeter's Sustainable and Competitive Cities Program provides technical assistance and funding to small and intermediary cities in Colombia to prepare long-term roadmaps to develop and access financing for infrastructure and service projects. The program has supported the diagnostic and structuring phases of projects such as Fusagasugá's public-lighting modernisation, helping lower preparation and financing risk before investment is mobilized. Findeter's facility is used predominantly by intermediary cities.³⁶ As a GCF-accredited entity, Findeter has a national footprint of 2,220 financed projects across 773 municipalities and 30 departments, demonstrating how a national intermediary can help crowd in capital for subnational climate investment at scale.³⁷ To know more about Findeter, click [here](#).

Transferability considerations

- **Tailor portfolio development to the national climate priorities and implementation capacities.** Cities with relatively less capacities can start with mapping key actors, identifying and aligning projects with national priorities, and engaging with key actors, such as PPFs, then move to portfolio development and governance once the actors are involved and enabling conditions are mature.
- **Different lead institutions can host the portfolio and pipeline development.** Depending on the governance setup, portfolio development and coordination role can sit within a national program or agency, regional authority, a multistakeholder body of local governments or external partners, such as city networks. The key is having sufficient mandate and convening power to continually develop and implement the portfolio.
- **Portfolio funding models can vary.** Some contexts will need a donor-led or grant-led portfolio development, while others with higher levels of fiscal capacity can use city-led, national-led or blended funding arrangements. The key is having funding that is sufficient to develop the portfolio from planning to investment readiness.
- **Tailor outreach to PPFs to match sector priorities, country context and pipeline maturity,** so early-stage projects are steered toward diagnostics and concept development, while more advanced pipelines are matched with structuring, de-risking and investment-readiness support.

Enabling conditions:

- **A clear mission, mandate and a coordination function.** The portfolio needs a national-level mandate (e.g., through a national mission), alongside clear roles across levels of government and an intermediary team or similar coordination function to keep actors, including governments, project developers and financiers coordinated, track progress and revise the portfolio as conditions change.

³⁶ OECD, [Intermediary Cities and Climate Change](#), 2022

³⁷ <https://www.findeter.gov.co/noticias/comunicados/con-166-billones-desembolsados-2220-proyectos-financiados-y-presencia-en-773-municipios-findeter-supera-sus-metas-del-cuatrenio>

- **National-local coordination mechanisms** that allow city-level priorities and lessons to feed into national policy, investment programmes and funding decisions.
- **An investment plan or preliminary pipeline to work from**, so the portfolio is built from agreed climate priorities across levels of government, rather than from siloed projects.
- **Early engagement with project preparation facilities**, so that the portfolio and pipeline are prepared for bankability from the outset.
- **Reliable data and assessment capacity**. Governments need sufficient data and technical capacity to identify projects across levels of government, assess readiness, identify gaps and structure a coherent theory of change across the portfolio.

Action 5: Mobilize Finance, Shape Local Markets and Deliver Investment Portfolios

This section will include guidance and tools for national, subnational and city governments to mobilize and deploy catalytic funding to test and scale solutions, de-risking mechanisms to support urban climate projects and shape local markets using aggregated procurement.

Systems Logic: Implementing portfolios and pipelines often requires interconnected financing, implementation and market-shaping mechanisms operating together as part of a system. Catalytic and de-risking finance mechanisms can help mobilize investment, while systemic portfolio implementation environments and local climate investment structures and collaborative implementation environments can support coordinated delivery of investments. Procurement complements financing by creating credible demand conditions that allow new solutions to move from demonstrations and small-scale deployment toward wider commercial adoption.

Action pathways:

5.1. Locally Anchored Multilevel Climate Finance Structures

Overview

What it is: Multilevel climate finance structures can be understood as a range of financing arrangements that help municipalities mobilize and deploy capital for climate and transition investment, in collaboration with other levels of government and the private sector. This could include pooled municipal borrowing facilities, trust funds, special purpose vehicles for projects requiring off-balance sheet financing, blended finance arrangements etc.³⁸ Their purpose is to create a local mechanism for cities to mobilize and deploy climate finance from diverse sources, including national governments, donors or private financiers.

³⁸ Interview with Björn Lundqvist, Matt Sundström and Númi Östlund

Why it is important: In many contexts, the challenge in implementing local climate investments is often not a shortage of capital but matching it to the right portfolio.³⁹ These finance vehicles and mechanisms can help bridge this gap by connecting portfolios with available capital and can take different forms depending on local government capacity, governance and market conditions.

Key actors: City and subnational governments, national governments and agencies, public and national development banks, municipal finance institutions, commercial banks, institutional and private investors, donors and philanthropic actors, fund or vehicle managers/intermediaries, corporates and community stakeholders.

Implementation guidance

Developing local transition finance structures entails the following process that multilevel actors can utilize:

- Build on the climate investment plan and the portfolio, then match each project to the right local financing structure. Large infrastructure may be placed in SPVs or bond-financed vehicles; smaller neighbourhood or nature-based projects may use trust funds or other pooled local vehicles; catalytic capital, guarantees and concessional support can then sit alongside these structures to reduce risk and crowd in larger pools of finance.⁴⁰
- Arrange the financing structure in a way that the government backs the investment, while banks, institutional investors, corporates or other investors provide the finance and technical assistance and additional de-risking where needed.⁴¹
- Develop long-term partnerships with donors, governments, DFIs and investors to continually capitalize the investment vehicle/structure based on the risks, returns and investor appetite.⁴²

Illustrative examples

Kenya's County Climate Change Funds (CCCFs) demonstrate how devolved climate finance can enable locally led adaptation while remaining anchored in national policy. CCCFs were piloted in Isiolo in 2011-12 and later expanded to Garissa, Kitui, Makueni, Wajir and beyond.⁴³ These funds identify, prioritize and finance local adaptation investments through county planning and budgeting systems, with county and ward committees steering decisions and local knowledge and climate information built into planning and monitoring.

³⁹ Synthesis based on the interview with Björn Lundqvist - "there are plenty of funds available but matching those to local projects is the harder part."

⁴⁰ Based on the interview with Björn Lundqvist

⁴¹ Based on the interview with Björn Lundqvist

⁴² Synthesis based on the interview with Björn Lundqvist - "private investors are willing to participate if the risk is well-structured"

⁴³ https://www.cif.org/sites/cif_enc/files/knowledge-documents/tcf_kenya_case_study_apr11-compressed.pdf

They are designed to blend resources from international climate finance, multilateral development banks, the private sector, national government transfers and county own-source budgets, and several counties have legislated commitments of 1–2 per cent of development budgets to capitalise the fund. This domestic commitment helped attract external finance, including seed funding from the UK and Sweden and a proposal to the Green Climate Fund to expand the model.⁴⁴ The model is aligned with Kenya's National Adaptation Plan (NAP), the National Climate Change Action Plan, and the Climate Change Act.⁴⁵ The success of pilots helped pave the way for national scale-up – by 2023 all 47 Kenyan counties had CCCFs in place, creating the basis for a new Financing Locally-Led Climate Action Program funded by the World Bank and the governments of Denmark and Sweden, and led by the National Treasury.⁴⁶

Milan for Trees Fund is a locally led trust fund managed by the municipality of Milan and is dedicated to tree planting in the city. The fund is capitalized through a blend of municipal tax revenues, individual contributions and larger corporate donations. The money is held off the municipal balance sheet, and the fund allows tree planting to extend beyond public land. In 2024, 600 citizens and 36 local business participated to raise over EUR 1.3 million to plant over 4700 trees.⁴⁷ It is a good example of how a city can lead local multi-stakeholder partnerships, bringing in private capital to fund place-based climate action. The city of Lund in Sweden is also planning to replicate this model to accelerate municipal tree planting, which will not only improve local climatic conditions but also provide additional economic value to businesses through place-based improvements.⁴⁸

Bristol has developed two key local funds focused on climate and energy, with a strong emphasis at community-level impact:

- First is the **Bristol Climate Action Investment** – developed as part of its Net Zero Investment Co-Innovation Lab, funded by the EU Net Zero Cities⁴⁹ – where investments as little as GBP 5 can be made by businesses, residents and communities. By 2025, the fund raised over GBP 500,000 in its first five weeks toward an initial GBP 1 million target. The investments are set up as a five-year loan offering 4.2% interest to finance energy-efficiency and renewable upgrades in council-owned buildings. Click [here](#) to know more.^{50,51}

⁴⁴ <https://napglobalnetwork.org/wp-content/uploads/2018/01/napgn-en-2017-snapshot-kenyas-county-climate-change-funds.pdf>

⁴⁵ <https://napglobalnetwork.org/wp-content/uploads/2018/01/napgn-en-2017-snapshot-kenyas-county-climate-change-funds.pdf>

⁴⁶ https://www.cif.org/sites/cif_enc/files/knowledge-documents/tcf_kenya_case_study_apr11-compressed.pdf

⁴⁷ <http://www2.comune.milano.it/en/-/verde.-piantumazioni-al-via-anche-grazie-ai-donatori-della-raccolta-milano-per-gli-alberi->

⁴⁸ Based on the interview with Björn Lundqvist

⁴⁹ <https://netzerocities.eu/pilot-cities-programme/>

⁵⁰ <https://netzerocities.eu/2024/07/12/banking-on-bristol/>

⁵¹ <https://news.bristol.gov.uk/press-releases/955534d8-ed87-4515-9ad0-39e15b6bc81d/investing-in-a-greener-future-for-bristol>



- Second is the **Bristol City Leap Community Energy Fund** – a GBP 1.5 million, grant-and-loan facility backed by contributions of GBP 750,000 each by Ameresco and Vattenfall, aimed at community-led energy projects, with any profits recycled back into the fund. This fund aims at reducing the use of fossil fuels and supporting local communities to reduce their energy consumption.⁵² Click [here](#) to know more.

LoCAL is a country-based mechanism spearheaded by the UN Capital Development Fund (UNCDF). It helps local governments integrate climate adaptation into planning and budgeting through **performance-based climate resilience grants** and technical and capacity-building support.⁵³ It channels climate finance to local governments through existing national fiscal transfer systems. In practice, local governments assess risks and needs, prepare adaptation plans, identify and budget priority measures, and implement them through their annual budgeting cycles; performance reviews and audits then inform future allocations. LoCAL is designed to scale in phases, moving from piloting to learning and then to full national roll-out⁵⁴, which makes it a strong example of a multilevel local climate finance structure embedded in national systems. Since 2011, LoCAL has provided USD 8.3 million in grants to 64 local governments, impacting over 5 million people across 12 countries in Asia (Bangladesh, Bhutan, Cambodia, Lao PDR and Nepal), the Pacific (Tuvalu) and Africa (Benin, Ghana, Mali, Mozambique, Niger and Tanzania).

Tamil Nadu Water and Sanitation Pooled Fund illustrates how a dedicated special purpose vehicle can connect municipal projects with state, national and private finance. Established by the Government of Tamil Nadu as a separate trust, the Fund pooled the borrowing needs of 13 small and medium-sized municipalities and issued a single bond to raise long-term capital for water and sanitation investments. Participating municipalities repaid the Fund through project and local revenues, while the state government strengthened the structure through reserve funds and the ability to intercept fiscal transfers if repayments fell short; a USAID partial guarantee provided additional protection to investors.⁵⁵ By ring-fencing the financing and repayment arrangements, the SPV spread risk, reduced transaction costs and enabled municipalities that could not issue bonds independently to access capital markets. The national government subsequently embedded this approach in its national **Pooled Finance Development Fund**⁵⁶, through which the central government supports state-level pooled finance entities with project-preparation assistance and credit enhancement. The case shows how national and state governments can establish an intermediary SPV that aggregates local investment needs and mobilizes private capital while municipalities retain responsibility for project delivery and repayment.

Lund's green bond programme is a strong example of a **local climate finance structure** because it shows how a city can translate climate priorities into a municipally anchored

⁵² <https://www.bristolcityleap.co.uk/community/community-energy-fund/>

⁵³ https://www.uncdf.org/local?trk=public_post-text

⁵⁴ <https://www.uncdf.org/download/file/127/5893/localbrochureenpdf>

⁵⁵ https://documents1.worldbank.org/curated/en/702211472040099035/pdf/107974-BRI-P159188-BlendedFinanceCasesIndia-PUBLIC.pdf?trk=public_post_comment-text

⁵⁶ https://www.pib.gov.in/newsite/erecontent.aspx?relid=21070&utm_source=chatgpt.com®=48&lang=2

investment vehicle. Lund began issuing green bonds in 2017, and by end-2025 had an outstanding green bond volume of USD 450 million. Lund municipality updated its green bonds framework, incorporating elements from the EU Taxonomy for sustainable investments, broadening the range of eligible projects. The framework also sets up how projects are selected, monitored and reported, and is used to connect investment planning with climate and sustainability goals while improving transparency and accountability to investors. The portfolio spans climate-smart infrastructure and buildings across the municipality and its wholly owned housing, parking and water utility companies, with examples such as the Lund tramway and the LKF housing project showing how the bond framework channels finance into a tracked green portfolio of approved projects.⁵⁷

Transferability considerations

- **Tailor the financing structure to the local fiscal system, borrowing regulations, tax base and market maturity.**⁵⁸ where decentralization and private-sector depth are stronger, local trust funds or similar vehicles may work well; where responsibilities are devolved but fiscal space is limited, devolved funds may be a better fit; and in more unitary systems, country- or donor-led funds, like the Viability Fund or LoCAL program, may need to be channelled through existing fiscal transfer mechanisms. In context where local governments have creditworthiness, a green bond framework like Lund could be utilized.
- **When setting up a climate investment fund, start with a focused investment portfolio, aligned with national priorities and plans,** so that investor confidence improves and external finance could be mobilized.⁵⁹
- **Carefully structure SPVs for project financing and implementation.** SPVs are legally complex and expensive downscaling to smaller projects requires careful packaging and de-risking for banks and commercial investors to participate.⁶⁰
- **Regardless of where the fund gets anchored, enable local planning control while bringing in external capital through multilevel partnerships,** so finance supports locally defined and locally led climate priorities.

Enabling conditions

- Credible leadership, commitment and capacities at various levels of government to structure and manage the climate investment vehicles, or access to an intermediary manager, such as Bristol's Net Zero Investment Co-Innovation Lab or Tamil Nadu's

⁵⁷ Green Bonds programme – City of Lund

⁵⁸ Based on the interview with Björn Lundqvist, Matt Sundström and Númi Östlund, all of whom stressed that local investment structures could take different forms based on the extent of local financial capacities, balance sheet strength and enabling environments.

⁵⁹ Based on the interview with Olle Dierks

⁶⁰ Based on the interview with Björn Lundqvist

subnational government, to support local governments in setting up and managing such funds.⁶¹

- Local alignment with national plans, national platforms and coordination with national institutions for long-term sustainability and ownership
- Multilevel partnerships with donors, corporates, individuals, DFIs or national governments to mobilize finance or credible intermediary to hold this mandate, manage these partnerships and channel finance to local investment vehicles.⁶²

5.2. Innovative and De-risking Financial Tools and Mechanisms

Overview:

What it is: De-risking financial tools and mechanisms reduce implementation and investment risk while helping mobilize larger pools of public and private capital. This could include concessional finance, guarantees, insurance and blended-finance mechanisms to crowd in investment, strengthen investor confidence and accelerate delivery of priority climate investments. They work best when linked to strong governance, project portfolios and local investment structures.

Key actors: national, subnational or local governments, MDBs, DFIs, NDBs, donors, guarantee providers, insurance providers, blended finance facilities, commercial banks, institutional investors and financial intermediaries.

Why it is important: Utilizing innovative and de-risking tools and mechanisms is crucial to mitigate perceived high risks and uncertainties for the investors. Many climate investments at the subnational or local level may be held back not by a lack of ambition, institutional arrangements or political momentum behind them, but by the fact that their risks are too high or too uncertain for private investors to engage at scale.

Implementation guidance

Working with de-risking and innovative financial mechanisms and tools entails the following activities that multilevel actors can utilize:

- **Identify the main financial risks in the climate investment portfolio.** These may include climate impact uncertainties, political risks, low market readiness, currency risks, weak enabling environments, revenue risks, high upfront costs of projects, small ticket sizes etc.
- **Layer appropriate de-risking tool with the specific portfolio risks.** For example, credit guarantees could help address revenue or political risks, insurance could de-risk climate impact uncertainties, catalytic capital could help to mitigate early-stage

⁶¹ Based on the interview with Olle Dierks explaining the need for competent fund management to set up local climate investment structures like that in Bristol

⁶² Interview with Olle Dierks revealed that the Viability Fund for Cities (discussed in 5.2) aims to play this fund manager and intermediary role, especially for local governments in EMDEs.

implementation risks, local currency financing could mitigate foreign exchange risk⁶³, and aggregation⁶⁴ could help avoid low ticket sizes and high upfront costs.⁶⁵

- **Blend public finance, including concessional public or donor finance or guarantees, with private investment such as loans or equities, to crowd-in private investors.**⁶⁶
- **Integrate these de-risking tools and blended finance approaches within local climate investment structures**⁶⁷, with public institutions helping coordinate and de-risk while private capital enters once risk is acceptable.

While structuring de-risking approaches, have continuous coordination between commercial investors, development institutions and governments to leverage each partner's comparative advantage and maximize impact.⁶⁸

What is Blended Finance?

Blended finance is the strategic use of a limited amount of concessional public or philanthropic capital to mobilize additional finance, primarily from commercial and private sources – toward sustainable development and climate goals. Rather than a single financial instrument, it is a structuring approach: public actors (donors, development agencies, philanthropies, and development finance institutions) absorb or share risks that would otherwise deter private investors, improving a project's risk-return profile enough to attract market-rate capital. The concessional capital at the core of a blended structure can take several forms, including grants, concessional debt or equity, guarantees, and other risk-sharing facilities. These de-risking mechanisms matter most in emerging markets and developing economies, where country-specific risk accounts for between 60 and 90 percent of investors' risk considerations, and where about 80-90 percent of climate mitigation investment is expected to come from the private sector. The overarching goal is to crowd in private money that would not have been invested otherwise, deploying only as much public subsidy as is needed to make a project viable.

Illustrative examples

Viability Fund for Cities is a donor-led, catalytic, multilevel funding platform designed to help cities, especially in EMDEs, to move from isolated projects to scalable, investment-ready climate portfolios by linking local investment vehicles with national, regional and international funders. It is built around local investment funds as a key vehicle for channelling co-finance into city-level priorities. The Fund provides limited catalytic capital to support a small number

⁶³ For a discussion on this, see CCFLA report [Accelerating Urban Climate Finance in Low- and Middle-Income Countries: An Important Strategic Dimension of MDB Reform](#)

⁶⁴ See CCFLA report, [Financial Aggregation for Cities](#)

⁶⁵ For more information about appropriate de-risking tools, see this World Bank [guidance](#) and CCFLA Financial Instruments [Toolkit](#)

⁶⁶ For a discussion on blended finance, see the OECD Blended Finance [Guidance](#) 2025 and World Bank [State of Blended Finance 2024: Climate Edition](#)

⁶⁷ OECD Blended Finance Guidance 2025, [Principle 3](#)

⁶⁸ OECD Blended Finance Guidance 2025, [Principle 4](#)

of “game-changing” interventions and creates a shared framework that can be adapted across contexts, including in the EMDEs. Viability Fund’s theory of change is built around three components – **align** funders across public and private sectors, **co-finance** priority investments that no single actor would back alone, and **aggregate demand** through procurement so that demonstrated solutions can move into wider deployment. The Fund aims to partner with key global funders and implementation actors to deploy EUR 10 million by 2030 in co-financing and another EUR 10 million in aggregated demand through a focus on climate-aligned procurement.⁶⁹

Viability Fund’s support offer

The Viability Fund offers cities two core forms of support. First, catalytic co-financing: through its Co-finance pillar, the Fund will contribute roughly 10 percent of the capital needed for a local investment, taking an early, credibility-anchoring position that is then topped up through national and international co-financing dialogues rather than covering the full cost itself. Second, a local investment fund as a service: because a city must establish its own local climate investment fund, built on shared principles, to receive the Fund's co-financing, the Fund helps set up and run that vehicle, potentially through a fund-manager partner, so it can channel capital to local stakeholders such as solar, batteries, energy infrastructure and SMEs, and recycle returns into harder-to-finance areas like wetlands. Alongside both sits governance and coordination support: aligning funders around common grant principles without pooling capital, and helping cities connect governance, investment planning and procurement – reflecting the Fund's guiding logic that finance follows governance.

To know more about with the Viability Fund for cities, click [here](#).

Urban Infrastructure Insurance Facility (UIIF) is a multilevel insurance-based risk pooling mechanism involving municipal governments, international donor agencies and city networks. It demonstrates how cities can address climate and disaster exposure risks and protect critical infrastructure. In the UIIF model, ten cities in Latin America and the Caribbean undergo risk assessments that inform tailored insurance coverage and disaster risk reduction measures, with individual city risks transferred into a pooled structure that reduces premiums through economies of scale and risk sharing. After a disaster, cities can access financing more quickly to rebuild infrastructure and support vulnerable residents, while also benefiting from better risk management, legal and technical support, and stronger relationships with financial institutions. UIIF follows a **7-stage roadmap**, which includes profiling and selecting cities, assessing risk and tailoring products, designing premium subsidies, tendering the insurance solution, and disbursing the subsidy over time.

To know more about UIIF, click [here](#).

InfraCredit Nigeria is a strong example of how a local credit-enhancement facility can unlock domestic capital for infrastructure. Established in 2017 through a partnership between PIDG, GuarantCo and the Nigeria Sovereign Investment Authority, InfraCredit provides NGN-

⁶⁹ Based on the interview with Olle Dierks

denominated guarantees that improve the credit quality of local-currency debt instruments and help projects access longer-tenor finance from institutional investors such as pension funds, insurers and banks that would otherwise not invest. By end-2024, it had guaranteed 24 transactions mobilising over NGN 200 billion in private investment, supported nearly NGN 150 billion in bond issuances, and helped first-time issuers such as North South Power access the domestic capital market. InfraCredit's portfolio spans projects in Abuja, Lagos, Ondo, Imo, Abia, Cross River, Enugu, Bayelsa, Ado Ekiti and Victoria Island, including solar mini-grids, embedded power, housing, telecoms, a ring road and industrial infrastructure, showing how a national credit-enhancement vehicle can channel finance into a wide range of place-based investments.⁷⁰

The model has also been replicated beyond Nigeria through sister facilities in Pakistan, Kenya and Cambodia, with additional markets including Vietnam, Ghana and Francophone West Africa under development or review.⁷¹

To know more about InfraCredit Nigeria, click [here](#).

Kommuninvest is a locally led Swedish **municipal aggregation mechanism** that pools borrowing demand from municipalities and regions, giving them access to capital on more favourable terms. It raises money in the market and on-lends it to its members, operating as a lending-only institution rather than a grant fund or equity vehicle. The model is backed by a joint guarantee from its 282 municipal and 15 regional members, which helps de-risk lending and lower borrowing costs. In 2025, Kommuninvest's total lending reached SEK 563.9 billion, showing the scale that pooled municipal finance can achieve.

To know more about Kommuninvest, click [here](#).

Transferability considerations

- **Match the financial mechanisms and tools to legal and regulatory conditions, capacities of multilevel actors, risk-return profiles of projects and market maturity.** Catalytic funding could be most effective in low-capacity contexts that require initial upfront capital to demonstrate implementation capabilities to crowd in additional finance.⁷² Insurance and risk pooling are most transferable where climate-disaster exposure is the main challenge to fiscal resilience; local-currency guarantees fit contexts with a bankable portfolio, where the main constraint is credit quality and investor confidence; pooled borrowing works where municipalities already have a shared financing base and want lower-cost market access or have small ticket sizes and limited creditworthiness to access the market individually.

⁷⁰ https://www.oecd.org/en/publications/blended-finance-case-studies_2fb90b9a-en/infacredit-making-infrastructure-projects-in-nigeria-more-bankable-through-credit-enhancement_bdb679c6-en.html

⁷¹ Ibid.

⁷² Based on the interview with Olle Dierks, highlighting the Viability Fund's plans to start operations in EMDEs from the beginning.



- **Replication works best when a trusted intermediary can hold the mandate, coordinate actors and manage risk.** For example, Viable Cities plays that coordinating role for the Viability fund, linking it with EU grants opportunities, local trust funds, systems demonstrators etc and the wider multilateral initiatives.⁷³ Similarly, ICLEI and PIDG play the coordinating, implementation or capacity building roles for UIIF and InfraCredit.
- **Adopt a phased approach for transferability in lower-capacity contexts.** UIIFs' seven-stage roadmap shows that de-risking instruments are more transferable when they are introduced step-by-step, giving cities and partners time to align data, governance and build capacities progressively. Similarly, Viability Fund also plans to adopt a phased approach, focusing on a few high potential projects, cities and partnerships to demonstrate early success and help inspire other actors to replicate the model.⁷⁴
- **Embed the tools within existing domestic governance systems, portfolios, investors and financial structures.** InfraCredit works well when anchored in a sovereign institution and domestic capital markets to mobilize local institutional investors which would benefit from local currency guarantees. Kommuninvest works well because it is owned jointly by municipalities and is tied to their joint guarantees. Viability fund similarly looks to invest in local investment structures from the outset to maximize the impact of its mobilized funds.⁷⁵

Enabling Conditions

- **A clear risk profile and a portfolio of investable projects.** These tools work best when cities can identify whether the main constraint is credit risk, disaster exposure, foreign exchange risk or early-stage delivery risk, and when there is already a project portfolio that can absorb guarantees, insurance or blended finance.
- **A legal and regulatory setup that allows the instrument to be deployed.** The tools have to align with the regulations for borrowing, guarantees, subsidies, or pooled finance, and public actors need enough budget authority to commit long-term resources to investment portfolios.
- **Financial structures to absorb capital and integrate innovative financial mechanisms.** In contexts where local balance sheets are not strong enough, investment vehicles, like SPVs could be used to integrate mechanisms like aggregation and blended finance.
- **Risk-bearing capital and counterparties willing to participate.** De-risking tools will need first-loss or catalytic capital, a financing partner, and investors prepared to take exposure once risk is reduced. That is visible in KfW/BMZ backing UIIF premiums, and PIDG and NSIA backing InfraCredit to crowd in institutional investors.

5.3. Collaborative Portfolio Implementation Environments

⁷³ Interview with Olle Dierks

⁷⁴ Interview with Olle Dierks

⁷⁵ Interview with Olle Dierks

Overview

What it is: A collaborative portfolio implementation environment is a place-based setup where public, private and civic actors jointly implement, test and adapt a portfolio of mutually reinforcing interventions around a shared transition mission.⁷⁶ These place-based initiatives go beyond individual pilots or project-level coordination activities. Instead, they create a shared, ongoing environment where governance, finance, procurement, regulations, organizational cultures and technologies are aligned around a common mission, such as climate action.⁷⁷ These implementation environments help generate the evidence, partnerships and institutional changes needed to move successful interventions toward investment and scale.

Why it is important: Developing a portfolio and the governance and finance arrangements around it is not sufficient on its own; climate portfolios also need collaborative implementation environments where public, private and civic actors can jointly contribute, deliver, learn and adapt. Without that environment, portfolios can fragment into isolated projects, learning is harder to share, and the system conditions needed for scale do not change.⁷⁸

Key actors: City and subnational governments, relevant national ministries and agencies, utilities and infrastructure owners, property owners and developers, businesses and solution providers, financiers and investors, procurement actors, academia and civil-society

Implementation guidance

The below actions could help create collaborative portfolio environments.

- **Anchor implementation in a locally relevant mission and system boundary.** Connect it to the city's climate/investment priorities and, where possible, national climate priorities, rather than starting with a technology or individual project.⁷⁹
- **Map the system, actors, structural barriers and opportunities before selecting solutions.** This is important because the system demonstrator experience showed that starting with existing solutions often reproduces incremental pilots rather than creating space for more transformative approaches.⁸⁰
- **Start with a real local testbed where the portfolio can be implemented against actual users, assets and constraints.** It should be bounded enough to manage but expansive enough to generate evidence for scale and expose the governance, infrastructure or market challenges to overcome.
- **Convene the delivery ecosystem and keep it aligned through continuous orchestration.** While local governments could anchor the portfolio implementation

⁷⁶ Interview with Olle Dierks

⁷⁷ Urban Systems Demonstrators Concept Note

⁷⁸ Ibid.

⁷⁹ Interview with Olle Dierks

⁸⁰ Ibid



process, it also needs higher tiers of governments, utilities, property owners, developers, investors and community actors, with continuous dialogue and coordination to maintain momentum and identify key implementation challenges. A dedicated orchestration function is also needed to maintain alignment across the portfolio, bring in relevant actors as implementation needs evolve, resolve bottlenecks, capture learning and sustain momentum toward the shared mission.

- **Implement the portfolio as one coherent system of mutually reinforcing intervention, not a set of separate projects.** The portfolio should connect governance, finance, procurement, regulation, behaviour and technology so that the combined effect shifts the system, not just individual parts of it.⁸¹ Not every intervention needs to be commercially investible; the portfolio can generate investible pipelines as learning progresses.⁸²
- **Use implementation to generate evidence that “de-risks” policy and investment and enables scale-up.** Track what changes in regulation, costs, technical performance, institutional arrangements, behaviour and business models—not simply whether an individual technology works.

Illustrative examples

System Demonstrators provide implementation environments that put investible portfolios into on-ground local testbeds where public, private and civic actors jointly shape the implementation, exchange learnings and adapt as needed. Rather than a project-by-project implementation approach, the demonstrators create a systemic implementation environment around a shared mission and a coordinated portfolio of investments, with continuous orchestration around governance, finance, procurement, infrastructure, regulations, behaviors and technology. Key examples of System Demonstrator implementation are highlighted below:

- **CoAction Lund** shows how a city-led system demonstrator can orchestrate a complex implementation ecosystem around a shared mission of climate neutrality by 2030. In Brunnsbög, the municipality brought together infrastructure providers, employers, property owners, universities and solution providers to deliver more than 40 coordinated activities across mobility and energy, with funding kept flexible so that resources can shift toward the most promising models as learning emerges. One major “game changer” is **EnergyNet**, a decentralised local electricity network that enables buildings, vehicles and local energy resources to share renewable electricity. By testing EnergyNet on ground, CoAction Lund has surfaced regulatory and market barriers around grid codes, data-sharing and local markets, helping inform the adjustments needed for scale and mainstream distributed energy systems in cities facing increasing electrification demands and grid constraints. Finally, a shared evaluation plan, based on agreed indicators, tracks both activities and system-level outcomes, feeding into regular reflection and learning cycles. EnergyNet’s successful

⁸¹ Ibid.

⁸² Ibid



demonstration has led to the Viability Fund for Cities identifying its expansion to other cities as a key investment opportunity,

To know more about CoAction Lund, click [here](#). To know more about EnergyNet, click [here](#).

- **Bristol Thriving Places** demonstrates how a system demonstrator can overcome a regulatory bottleneck into to implement infrastructure and scale through multilevel collaboration, including with the national government. In Bristol, the challenge was affordable, zero-carbon housing on small brownfield sites that conventional development treated as unviable; the city, working through Bristol City Council and the Bristol Housing Festival, convened a consortium led by social housing developer EDAROTH, together with housing associations, regeneration developer Igloo, energy, and digital infrastructure providers, government agencies, a private 'gov-tech' firm and research partners to deliver a portfolio of net-zero social homes, a multi-capital value toolkit, a policy and regulation discovery stream and a digital twin. The demonstrator's key move was site aggregation: by treating many small council-owned sites as one programme, Bristol created the scale needed for delivery, prompted the council to review its treasury strategy to enable programme-level appraisal, and secured a development agreement of around £10 million through an existing national procurement framework. The model then fed into the UK government's Small Sites Aggregator, a national programme launched by the Ministry of Housing, Communities and Local Government with private and public partners and an ambition of enabling 10,000 social rent homes a year.

Click [here](#) to know more about Bristol Thriving Places

- **Green Routes, Bogotá** demonstrates how a system demonstrator can build a collaborative implementation environment around a shared evidence base. In Bogotá, the challenge was to coordinate thousands of freight operators in a citywide logistics system, so the demonstrator brought freight operators, shippers and public agencies together through the Urban Logistics Network, led by the city's Secretariat of Mobility and working with the Secretariat of Environment. As part of the implementation, Green Routes, a consortium of four technology companies, developed a real-time routing platform, which is part of an interconnected portfolio or related actions, including emissions labelling, circulation rules, loading and unloading investments, sustainable driving guidelines and a proposed district freight fund. The platform's key contribution is the negotiated data-sharing arrangement, which would give the city the evidence it needs to plan freight more effectively, while also helping operators optimise routes and costs. The next steps for this systems demonstrator are to develop business models and sustainable revenue streams.⁸³ Click [here](#) to know more about Green Routes.
- **Stockholm's STOLT system demonstrator** is advancing the city's ambition for an emission-free inner city by 2030 by using the introduction of a Class 3 Environmental

⁸³ Based on literature shared by Olle Dierks, "Bogota - Winning Team - Green Routes."



Zone and the Urban Environment Zone in Gamla Stan as strategic windows of opportunity for wider transport-system transformation. Rather than testing a single solution, STOLT coordinates a broad ecosystem of city departments, businesses, research and innovation actors, infrastructure stakeholders and civil society around a portfolio that includes stakeholder dialogue, fossil-free transport procurement, electrified construction, off-peak logistics and emerging concepts such as co-loading hubs. This coordination is particularly significant in Stockholm's complex institutional setting – the demonstrator has succeeded in working across municipal departments and external stakeholders through recurring coordination, shared portfolio oversight and continuous adaptation. The result is not only a set of demonstrations, but an implementation environment that helps maintain a common direction, surface regulatory and operational bottlenecks, and connect learning across activities so that successful approaches can be institutionalized and replicated beyond the original testbeds.⁸⁴ Click [here](#) to know more about STOLT.

- **Makindye Ssabagabo's Green Community Cities** demonstrator brings together the municipality, UN-Habitat, Viable Cities and an international consortium working across urban planning, low-carbon construction, recycled building materials, organic-waste processing, water systems and finance to address affordable housing as a wider urban system. The model combined modular and incremental housing, circular-economy enterprises, renewable energy, water-saving technologies, skills development and local employment, supported through a proposed blend of grants, concessional capital, private investment, microfinance and cross-subsidisation between market-rate and affordable housing.⁸⁵ Experience from the Climate Smart Cities Challenge also surfaced an important implementation challenge – internationally assembled solution teams were more effective where they were strongly anchored in local actors and institutions, and that weaker local collaboration and national-local connections made implementation and scaling more difficult in cases such as Makindye than in more institutionally mature settings. The example therefore shows both the value of bringing diverse capabilities into a shared implementation portfolio and the importance of ensuring that orchestration is rooted in institutions with sufficient local mandate, relationships and capacity.⁸⁶

CCFLA Local Hubs show how a collaborative implementation environment can be built around shared geographies and climate action priorities. The hubs leverage CCFLA's membership network to bridge the demand-supply gap for urban climate investment by engaging local and global members across the project full value chain, from research and convening to matchmaking and implementation support.

- **Central Asia Local Hub** is a collaborative multilevel implementation environment that helped central Asian cities to move from concepts to project preparation and

⁸⁴ Interview with Olle Dierks

⁸⁵ Based on the literature shared by Olle Dierks, "Green City Community Brief."

⁸⁶ Interview with Olle Dierks

financing. The Hub brought together 25 local governments, 10 national agencies and partners such as the **Gap Fund** and **FELICITY II** (project preparation facilities) around a shared focus on preparing projects for buildings' decarbonization in Kazakhstan and Uzbekistan. To this end, the Hub organized the high-level Tashkent forum, which convened around 140 participants. This included expert-facilitated breakout sessions, where city officials developed project ideas and filled them into the Gap Fund's Expression of Interest templates. The Hub also helped connect GCoM's early-stage project origination work with FELICITY II and the Gap Fund, while obtaining financing commitments and agreements from international financiers such as the European Investment Bank and the Green Climate Fund alongside providing them with a clearer view of an emerging portfolio of building retrofit projects.⁸⁷

- **CCFLA's Brazil Local Hub** works as a place-based implementation platform that brings together 50 local, national and global partners to help cities facing floods, droughts and infrastructure gaps move from fragmented demand to more coordinated urban climate action. Rather than operating as a stand-alone convening effort, it is built around two implementation-oriented initiatives: a community-of-practice that aligns actors and accelerates implementation, and the PCVR Project Bank, co-developed with Brazil's Ministry of the Environment, which maps subnational urban projects at different stages so they can be matched more effectively with technical assistance, funding and finance.⁸⁸

Click [here](#) to know more about CCFLA Local Hubs

CITIIS 2.0 (City Investments to Innovate, Integrate and Sustain) in India shows how a national programme can create a collaborative portfolio environment that helps cities to implement their climate-related project portfolios. Conceived by the Ministry of Housing and Urban Affairs with the French Development Agency, KfW, the European Union and the National Institute of Urban Affairs (NIUA), the programme supports up to 18 competitively selected city projects focused on circular economy and integrated waste management, while also backing state-level climate action and national-level institutional strengthening. The programme is coordinated through a PMU at NIUA, which the operational guidelines say is responsible for overall management and support on project management, environmental and social safeguards, monitoring and evaluation, knowledge capitalisation, and communications and outreach. Selected cities are supported by domestic experts and a pool of international mentors and transversal experts, with domestic experts providing day-to-day assistance and regular on-site missions. Governance of CITIIS is reinforced through a jury and an Apex Committee for final selection and periodic review, helping connect funding decisions to delivery capacity and accountability.

Click [here](#) to know more about CITIIS.

⁸⁷ CCFLA Central Asia Hub [Synthesis Report](#)

⁸⁸ <https://citiesclimatefinance.org/brazil-hub>



Transferability considerations

- **Transfer the core functions of implementation environments, while keeping the institutional form adaptable.** The transferable core is a defined local system or place, a shared mission, system mapping, a portfolio approach, continuous orchestration, learning and pathways to finance and scale. The institution leading these functions should reflect the governance context.
- **Keep implementation locally grounded.** Deep transition challenges cannot be solved by externally assembled consortia alone. Local actors with knowledge, mandate, relationships and implementation capacity should anchor the process, while external partners add specialist capabilities. The examples cited above defined their own local priorities, i.e., decarbonization in Lund, land aggregation in Bristol or project preparation for low-carbon building retrofits in Central Asia.
- **Embed implementation in the institution best placed to provide political mandate, coordination and continuity.** Where local governments have sufficient autonomy and capacity (e.g., system demonstrators in Lund, Bristol and Bogota), they can anchor the process directly; where they do not, national ministries, international agencies or other intermediaries (i.e., CCFLA for Local Hubs or a national agency, NIUA, in CITIIS 2.0) can provide the convening power and long-term ownership needed to sustain implementation and scale.
- **Funding and participation arrangements should fit the governance and institutional context.** Whether participating members in a portfolio implementation environment have funded roles, in-kind contributions or voluntary commitments will vary by fiscal capacities, partnership needs and the enabling environments – what matters is that the model is strong enough to sustain engagement and keep the implementation environment moving. For example, the Swedish system demonstrators funded all consortium partners while the local hubs engaged stakeholders without direct funding.⁸⁹
- **Phase the implementation based on system readiness.** In contexts with low readiness levels, implementation should focus on diagnostics, convening, mapping and coalition building (e.g., Central Asia Hub). As readiness increases, focus should shift towards investment planning, testbed selection and portfolio development (see Action 4 for guidance on these). Full implementation should be financed once the mission is co-owned, the coordination function is in place, stakeholders are mobilized, barriers are known and a portfolio is in place.
- **Use clear, accessible language and simplify the methodology where necessary.** The Swedish experience showed that even relatively mature cities struggled when system-demonstrator concepts became overly abstract or innovation-heavy. In lower-capacity contexts especially, guidance should focus on practical functions and outputs rather than specialist transition terminology.
- **Connect local implementation to national systems from the beginning.** Demonstrators are more likely to scale when local evidence can inform national policy, funding programmes, investment priorities and future climate plans. Some

⁸⁹ A Blueprint for Designing, Funding and Scaling System Demonstrators for Climate Transition in Cities (zero draft) and CCFLA Central Asia Hub [Synthesis Report](#)

System Demonstrators, e.g., in Uganda, have demonstrated that weak national-local institutional connections can constrain scaling even when local demonstration is successful.⁹⁰

- **Build in a pathway from implementation to scale from the outset.** The model is more transferable when it linked from the outset to investment, procurement and replication routes. These pathways may involve national governments, DFIs, PPFs or international donors, depending on the funding context and portfolio readiness. For example, EnergyNet is expected to scale through the Viability Fund, Bristol scaled via the UK Small Sites Aggregator, and Central Asia Hub is expected to scale through project preparation pathways involving Gap Fund, FELICITY II, and financing pathways involving GCF and EIB.

Enabling conditions

- A political mandate and co-owned decision making between public and private actors.
- A dedicated coordination function or intermediary capable of holding the implementation environment together, capture learnings iteratively and
- Reliable local data, evidence and a testbed (e.g., a city) so that baseline data and observed barriers could inform implementation.⁹¹
- Flexible and sustained funding for implementation and learning, including resources for orchestration and experimentation, not only capital expenditure on individual assets.
- A multilevel pathway for policy and institutional learning, allowing barriers identified in the testbed to be escalated to the regional or national levels and successful approaches to feed into future plans, policies and investment frameworks.
- Credible pathways to connect bankable portfolios to finance providers and market-shaping actors, including governments, private developers, investors DFIs and procurement actors.

5.4. Aggregated Procurement as a Market-Shaping and Industrial Transition Mechanism

Overview:

What it is: Aggregated and pooled procurement are a market-shaping and industrial transition mechanisms in which cities, alongside subnational and national agencies and other public and private buyers coordinate purchasing power to create a stronger, aggregated demand for low-carbon and resilience-enhancing goods, services and infrastructure. The market signal can be strengthened further if local procurement activities are aligned with

⁹⁰ Interview with Olle Dierks

⁹¹ For example, Central Asia Hub identified the absence of objective baseline data for cities and business, which limited progress in the implementation of building retrofits.

national climate priorities.⁹² In this pathway, aggregation can mean multiple buyers coordinating demand while keeping separate budgets and contracts, while pooled procurement combines demand into a single fund or joint tender.⁹³ The mechanism can operate within a city, across municipalities, or vertically across city, state and national levels.

Why it is needed: Subnational governments collectively spend over USD 6 trillion a year on goods and services – roughly 8% of global GDP – yet this leverage is fragmented across departments and not coordinated with private demand, so markets receive no stable signal to invest in low-carbon materials. Procurement, when used strategically to align with climate outcomes, can help create a unified, more stable demand for green and resilient infrastructure.

Key actors: National public works and urban development departments or ministries, regulatory authorities, provincial and city procurement departments, public agencies and utilities, private developers, major corporate buyers, manufacturers and suppliers, standards bodies

Implementation guidance

Using procurement as a market-shaping and industrial transition mechanism entails the following activities:

- Start with a clear climate-related procurement priority and the public, private and municipal buyers that can shape demand together.
- Choose an appropriate procurement model (e.g., as demand aggregation, pooled tenders), jurisdiction (e.g., single or multiple cities) and participating entities (governments, private actors etc.).
- Agree common procurement specifications and test market appetite through early engagements with manufactures, suppliers, developers and construction professionals.
- For easier implementation, back the procurement model with finance and governance, including budget approvals, clear decision-making structures and enabling support from national governments, DFIs or technical partners
- Monitor and evaluate the procurement process and feed learnings back into subsequent procurement cycles to shape the market over time. This could include monitoring emissions, costs, resilience-related outcomes, governance or budgetary challenges etc.

Illustrative examples:

First Mover Cities Cohort is being developed as a dialogue series by the First Movers Coalition, World Economic Forum. The cohort will bring together city representatives, private actors, and other partners to discuss green procurement governance, tender design, and how to turn fragmented demand into clearer market signals. The cohort is engaging cities

⁹² <https://citiesclimatefinance.org/publications/catalyzing-aggregated-purchasing-power>

⁹³ Ibid.

such as Stockholm, Seattle and San Francisco, drawing on examples like Stockholm's tender-based incentives and Zurich's material-based mandate to show how procurement rules can shift markets for lower-carbon materials, bring public and private actors to coordinate as part of a multistakeholder process. Click [here](#) to know more about First Mover Coalition.

C40 Clean Construction Accelerator shows how city action can move beyond municipal projects and help reshape the wider construction market. It is an initiative that brings together eight cities to help transform the building and construction industry. In the accelerator, mayors commit to reusing and retrofitting existing buildings first, leading by example through municipal procurement, demanding transparency through whole-life carbon assessments, building joint roadmaps with stakeholders, approving at least one net-zero flagship project, assessing resilience impacts, and advocating for action at national and higher levels. These commitments translating into practice – cities are using procurement to push whole-life cycle assessments and low-carbon materials, coordinating across departments, working with private-sector partners such as the North American Electric Construction Coalition, and pressing national governments to remove policy barriers.⁹⁴

Click [here](#) to know more about the Accelerator.

RAMCC Trust Fund, Argentina demonstrates how a horizontally coordinated pooled procurement vehicles, coordinated horizontally (i.e., between local governments), can consolidate a fragmented municipal demand into a strong market signal. RAMCC is a coalition of 270 municipalities, and the Trust Fund, established by RAMCC in 2018, helps participating municipalities to finance and deliver projects in their climate action plan by procuring suited climate-smart technologies at lower costs. Each participating municipality is a Trustee and is represented by its mayor in the Assembly of Mayors – a forum for Trustees to set out their project implementation priorities and share progress. The Assembly also elects the executive committee, the Mayor City Council, comprising a group of 5 mayors (one president and four vice presidents), which provides strategic oversight for the Trust's financing activities each year. A third body, the Executive Secretariat, provides Trustees with technical support to develop climate plans, undertake technical studies, and develop financing proposals. Municipalities approve budgets, pool and allocate funds. The Mayor City Council issues pooled tenders, award contracts and pays technology suppliers. The Trust Fund has initially focused on LED lighting procurement, achieving economies of scale and financial savings and delivering measurable emissions, energy savings.⁹⁵

Click [here](#) to know more about the Trust Fund.

The Grand Challenge, India is an example of a vertically coordinated (i.e., between multiple levels of government) pooled procurement model for urban green transport – a capital-intensive sector. The model aimed to scale up the deployment of e-buses in India and

⁹⁴ <https://www.c40.org/accelerators/clean-construction/> and <https://www.c40.org/wp-content/uploads/2025/12/C40-Clean-Construction-Accelerator-Report.pdf>

⁹⁵ CCFLA [Financial Aggregation Blueprints](#)

support the transition to low-emissions fleets. Led by Convergence Energy Service Limited (CESL) under the Ministry of Power, and supported by TUMI E-bus Mission, the model pooled demand from multiple cities for e-buses, reduced transaction costs through a single tendering process and used subsidies from the national government, with some state contributions as well. CESL first invited cities to estimate demand and share route, depot and charging information, then consolidated those inputs into a standardized pooled tender. Before issuing the procurement, CESL also consulted OEMs through informal discussions and an initial expression of interest, which helped it test market appetite and adjust the tender design. The tender was then split into five lots with different technical specifications, and bids were selected based on the lowest cost per kilometre. The model relied on a gross cost contract and a mobility-as-a-service structure where private operators own and run the e-buses and charging infrastructure for 12 years, after which they transfer the assets to cities. This helped shift the upfront costs away from cities and suppliers while helping scale a new market for electric buses.⁹⁶

Click [here](#) to know more about the Grand Challenge.

Intra-city aggregated procurement in Zurich demonstrates how a city government can leverage its regulatory mandates and purchasing power to aggregate demand from public and private sectors within its jurisdiction and create a market for low-carbon infrastructure. In 2002, the city began with a pilot showing that a new school could use 80 percent recycled aggregates in concrete, then introduced a 25 percent minimum requirement for recycled aggregates in concrete for new public buildings in 2005 and later tightened its procurement in 2013 to require low-carbon cement as well. Over time, this public procurement approach, together with revisions to Swiss standards and active engagement with local producers, helped create a local market for recycled concrete that later spread into the private sector. As a result, 90% of public concrete used in the city is now recycled (up to 50% recycled aggregates), and between 2016-21, the city's concrete-related CO₂ emissions were reduced by 25-30% (7,430 tonnes CO₂ emissions saved). Zurich's procurement policy succeeded in creating a market for recycled concrete that was later spread to the private market, helping aggregate the city-wide demand towards low-emissions infrastructure.⁹⁷

Click [here](#) to know more about Zurich's aggregated procurement.

Transferability considerations

- **Use the procurement model that fits the capacity and governance context.** This may be a trust fund with built-in governance, a nationally coordinated tender, or a city-level mandate; the transferable core is the combination of

⁹⁶ Ibid.

⁹⁷ https://www.agora-energiawende.org/fileadmin/Success_Stories/BP/BP_CH_Recycled-concrete/A-EW_282_Succ_Stor_BP_Recycled-concrete-in-Switzerland_WEB.pdf



political mandate, technical support, and clear criteria for aggregating demand.⁹⁸

- **Choose an appropriate procurement jurisdiction based on capacities and governance arrangements.** Where cities have strong procurement authority and large infrastructure pipelines, intra-city aggregation can shape markets within one jurisdiction. Where capacities or enabling conditions are weaker at the municipal level, pooling between cities can work, but it usually needs a national intermediary or coordinator to standardize and hold the process together, as in RAMCC and India's Grand Challenge.
- **Adapt the procurement objectives based on national climate priorities.** For example, cities can focus on procurement models for low-carbon construction materials or e-buses where national priorities include renewable energy and decarbonization, so the market signal reinforces the wider policy direction.

Enabling conditions

- Clear procurement authority to set procurement rules, define award criteria and, where relevant, coordinate across departments or buyers.
- Multilevel coordination capabilities, especially with higher levels of government and the private actors to implement the procurement models
- Enabling regulations, procurement frameworks and financing or technical support at the national and subnational levels
- Technical capacity within subnational or local governments to design, evaluate and monitor climate-aligned tenders
- Early and continuous market engagement to assess readiness of suppliers, manufacturers and other industry actors.

Recommendations for actors: national governments, cities and international partners

⁹⁸ [Catalyzing Aggregated Purchasing Power: The Role of Private and Public Intra-City Procurement for Advancing City Climate Action](#)

Action 6: Learn, Strengthen Capacities and Scale

This action includes guidance for national and city governments to scale and enhance multilevel climate investment systems and build capacities by leveraging external partnerships that provide access to finance, technical assistance, and implementation guidance.

Systems Logic: Long-term implementation of climate action requires partnerships with external actors for learning, strengthening capacities and scaling multilevel investment. Peer learning networks and capacity-building programs can strengthen implementation capabilities, leadership and continuous learning, while strategic partnerships across governments, MDBs, DFIs, financial institutions, project developers and implementation actors can improve access to technical assistance, financing and implementation support.

Action Pathways:

6.1. Capacity Building, Peer Learning and Networking

Overview:

Capacity building and networking initiatives help national, subnational and city governments to institutionalise knowledge exchange and develop technical competencies. These initiatives can include peer-to-peer exchange between cities, training and academy programmes to build technical capacities within municipal administrations and multi-stakeholder coalitions that convene public and private actors around shared standards and learning. These initiatives are usually implemented through partnerships with national or subnational governments, city networks, technical-assistance providers, and development finance institutions. The key objective is the transfer and retention of capacities, enabling cities to prepare bankable climate portfolios and to replicate and scale future investments beyond the period of external support.

Implementation Guidance: Governments can implement capacity building and networking

- Partner with city networks, academia and communities of practice to convene peer learning, training and practitioner exchanges across local and subnational governments around shared implementation challenges
- Adapt content and engagement formats to different contexts, including language, culture and institutional capacity.
- Work with partners to translate experiences and learnings into practical guidance, templates and repeatable methods and feed lessons back to national and subnational governance structures

Key actors: national, subnational and city governments, alongside city networks, technical-assistance providers and DFIs/MDBs.

Illustrative examples

CAFE (City Academy on Finance and Equity) was developed by the C40 Cities Finance Facility to equip city officials with the practical tools needed to plan and finance equitable infrastructure projects. The academy was delivered in three parts to mid- and senior-level officials from Global South cities, with learning objectives focused on understanding and assessing financing instruments, embedding equity and inclusion across planning, development and implementation, and linking finance to business models. Through its workshops and a workbook, CAFE offers a structured learning process that helps cities improve project preparation, strengthen cross-departmental understanding and design investments that are both finance-ready and equity-aware. Click [here](#) to know more about CAFÉ.

UrbanShift Academies offer a peer-learning platform for cities working on integrated urban development. UrbanShift is a “one-stop” platform bringing together global, national and local champions, while offering a suite of capacity-building activities that includes a city academy, Finance academies, national dialogues and urban labs.⁹⁹ The platform combines these learning activities with on-the-ground local projects, so cities can exchange experience, build strategic planning skills, and apply what they learn to integrated solutions in areas such as transport, housing, green infrastructure and waste. Click [here](#) to know more about UrbanShift.

The Cities Climate Finance Leadership Alliance (CCFLA) provides a multi-level, multi-stakeholder space for practitioners to connect, exchange experience and build networks around urban climate finance. Through its thematic Action Groups, CCFLA members can convene around priority topics such as project preparation, adaptation finance, enabling environments, private finance and other emerging financing challenges, sharing practical approaches and identifying opportunities for collaboration. Participation is open across CCFLA’s diverse membership, including national governments, city networks and subnational actors, demand- and supply-side finance organizations, and expert and technical organizations, helping connect perspectives across levels of government and across the climate finance ecosystem.

Actions to enable participation of EMDE cities in capacity building and peer learning workshops

National governments and city networks should create clear, low-barrier entry points to these programmes and co-finance participation for under-resourced cities, so EMDE cities can both benefit from and contribute to peer networks. A priority is making tools and processes more accessible across languages and institutional contexts, including through:

- Cover travel, accommodation, and staff time, so participation is feasible for under-resourced cities.

⁹⁹ <https://iclei.org/urbanshift/>

- Offer hybrid and asynchronous options with downloadable/offline materials, for cities with weaker connectivity
- Pair peer learning with follow-on technical assistance or mentoring, so cities can apply what they learn rather than just attend.
- Use local platforms (e.g., CCFLA Local Hubs) or city networks as delivery partners, so convening is closer to cities and less dependent on a single central venue.
- Organize workshops and events in local languages, wherever possible, so that guidance is accessible for city officials.

6.2. Strategic Partnerships for Finance Mobilization and Implementation at Scale

Overview

What it is: Strategic partnership mechanisms set out the resources available to national and city governments for strengthening partnerships with development finance institutions, climate funds, philanthropic actors and technical-assistance providers, to access climate-related implementation support.

Why it is needed: Financing and implementation of multilevel climate action are often held back by limited project pipelines and investment planning, capacity gaps, and weak subnational creditworthiness, alongside a shortage of financial instruments suited to city-level projects. Strategic partnerships can help close these gaps by providing access to project preparation, technical assistance, blended finance, guarantees and investor matchmaking.

Illustrative examples

Global Platform for Sustainable Cities (GPSC) is a World Bank-led global knowledge and partnership platform, supported by the Global Environment Facility, which connects cities with knowledge, partners and practical tools to help them design and implement integrated urban solutions. Through this platform, city leaders are supported to advance projects that cut emissions, protect biodiversity, create jobs and economic opportunities, strengthen resilience to climate and urban risks, and improve quality of life for residents. Click [here](#) to know more about GPSC.

UN-Habitat RISE UP is a flagship implementation partnership that is coordinated through UN-Habitat's headquarters, regional, national and local offices, mobilizing significant investments to help cities effectively adapt to climate change. The program has mobilized more than USD150 million through partnerships with several organizations including the Adaptation Fund, Green Climate Fund and bilateral funding agencies such as Sida. The program is active in nearly 30 countries, making it

a strong example of a global platform that supports city-level adaptation finance through partnerships with climate funds. Click [here](#) to know more about RISE UP.

UNEP Beat the Heat Initiative, under the Global Cooling Pledge is a multilevel coalition for urban heat action that brings cities, countries and partners together around a shared implementation challenge, with 250 cities joining the call to action and examples focused on heat action planning, nature-based solutions and cooling. Beat the Heat links city action to national and global cooling commitments. The initiative is a collective effort to localize the **Global Cooling Pledge**, which has **75 country signatories**, and to support cities and sub-national actors through heat-risk assessments, passive and nature-based cooling, planning, and public procurement. The **50@50** activation then adds the city-to-city layer: more than 50 cities are sharing practical approaches, stress-testing systems and accelerating action together, with UNEP, C40 Cities and the City of Paris providing support and institutional anchoring through the wider Cool Coalition / EPIC architecture. Click [here](#) to know more about Beat the Heat.

How to enable partnerships:

To enable such partnerships, national, subnational or local governments can undertake the following actions:

- **Start with the implementation bottleneck.** Clarify whether the main constraint is capacity, project preparation, de-risking, financing, or delivery support; that determines whether the right entry point is a city network, an MDB/DFI, a climate fund, a technical assistance facility, or a philanthropic partner.
- **Based on the support required, identify the key partner institution.** Early engagement typically requires knowledge exchange and capacity building; program readiness requires project preparation support; investment programming needs grants and technical assistance TA; financing needs blended or concessional instruments and guarantees; and implementation needs ongoing coordination, learning and delivery support.
- **Bring in the relevant public counterpart early.** For partnerships with MDBs and DFIs, connect through finance ministries, planning ministries or the national platform secretariat so the proposal fits country priorities, governance arrangements and the partner's operating criteria.
- **Use intermediaries to connect cities to support.** City networks, national task forces, subnational technical working groups and country-platform secretariats can help broker access to finance institutions, TA providers and climate funds, especially where cities cannot engage directly.



- **Prepare a clear concept note or project brief** that sets out the urban priority, the delivery gap, the support needed, and how finance, TA and implementation roles will be combined across actors.

Part II: COUNTRY MULTILEVEL GOVERNANCE JOURNEYS

This part of the Toolkit will complement Part I by showcasing how different multilevel governance 'Actions' and their 'Action Pathways' interact in practice across country contexts.

The Country Journeys will include deep dive analysis grounded in real-world contexts, showcasing institutional relationships, learning loops, implementation cycles, accountability mechanisms, and enabling conditions required to implement and scale Action Pathways across different countries. The Country Journeys will also seek to identify institutional friction points, governance bottlenecks along with challenges and lessons learnt from implementation experiences.

Country Journeys are intended not only to document implementation approaches, but also to showcase how cities, regions and national governments have co-developed practical solutions that can inform other CHAMP countries.

This part of the Toolkit will have a special focus on the interactions between institutions and programs, governance capabilities, intermediary functions, financing and implementation platforms, and feedback loops required to sustain long-term climate investment.

Initial Country Journeys will focus on Sweden, drawing on its experience with multilevel climate governance and implementation processes and capabilities. In subsequent phases, the Toolkit may also include the journeys of Brazil and Morocco, reflecting CHAMP's ongoing engagement, especially the presence of the CHAMP Finance Working Group in both countries. This provides a strong foundation for documenting their multilevel governance journeys while also supporting the contextualization and dissemination of the Toolkit within their national settings.

Sweden Deep Dive

The Sweden deep dive will serve as the flagship reference model for operationalizing multilevel climate governance under CHAMP, showing how different multilevel governance functions have operated together over time, illustrating how Climate City Contracts, intermediary coordination, procurement, financing and implementation ecosystems have functioned together operationally over time. **It will also include the orchestration logic, including where successes as well as institutional bottlenecks, coordination frictions, implementation constraints and governance trade-offs have emerged.** Capturing these dynamics will help position the Toolkit as a more operationally realistic and internationally transferable resource, particularly for countries navigating evolving multilevel governance systems under different institutional conditions.

Outline

A. The Swedish Context

This section will provide contextual background on the mission-oriented nature of Sweden's journey to multilevel governance. This includes a narrative on political, institutional, fiscal and governance conditions that shaped the evolution of Sweden's multilevel climate governance and implementation ecosystem.

The purpose of this section will be to help the CHAMP ecosystem better understand why specific multilevel governance, financing and implementation mechanisms emerged in Sweden, how they evolved over time, and which enabling conditions, institutional capacities and coordination cultures helped shape their development.

B. Sweden's Multilevel Climate Governance Model: Key Mechanisms, Successes and Challenges

This section will include the evolution of the following implementation approaches that could be further developed together with CHAMP partners in different contexts:

[Placeholder: Sweden's governance mapping diagram, including institutional interactions, implementation workflows, intermediary functions and financing relationships]

- Viable Cities as a national platform
- Climate City Contracts, the document, the process and the coordination function
- Samordningsfunktioner
- System Demonstrators
- Local Climate Investment Frameworks [EnergyNet use case included]
- Viability Fund for Cities
- Aggregated Procurement and market-shaping approaches
- CapaCITIES
- Cities2030

Building on these, this section will also include the orchestration logic of the Swedish model:

- How different implementation approaches interact operationally
- How governance and financing mechanisms evolve
- Where institutional coordination and implementation feedback loops emerge
- Where institutional frictions, challenges and trade-offs emerge
- What enabling conditions support the transferability of these pathways and support systemic transformation in contexts with limited institutional capacities

6. Proposed Roles and Responsibilities for Longer-Term Sustainability of the Toolkit (*TBD with partners*)

The Toolkit's long-term governance arrangements will need to be agreed jointly with CHAMP partners. At this stage, we propose two governance scenarios to support discussion with CHAMP partners. Both maintain the same implementation-oriented architecture while differing in institutional ownership and governance responsibilities.

Governance Scenarios

Scenario 1: CCFLA- and Viable Cities-led Toolkit

Overview: CCFLA and Viable Cities jointly own, govern and maintain the Toolkit, while working closely with the CHAMP Secretariat and partner organizations.

Potential roles

Function	Lead	Supporting stakeholders
Governance and ownership	CCFLA, Viable Cities	CHAMP Secretariat
Content development	CCFLA, Viable Cities	CHAMP partners
Hosting and maintenance	CCFLA, Viable Cities	CHAMP Secretariat
Content management and updates	CCFLA, Viable Cities	CHAMP partners
Outreach and dissemination	All Stakeholders	
Country-level utilization	National governments (CHAMP focal points)	Subnational government representatives (via C40/GCoM)

Potential advantages:

- Builds on the organizations already leading Toolkit development, ensuring iterative development and regular content updates
- Reduces operational burden on the CHAMP Secretariat,
- Leverages CCFLA's expertise in urban climate finance and Viable Cities on-ground multilevel governance and implementation expertise and experience.

Scenario 2: CHAMP Secretariat-led Toolkit

Overview: The Toolkit becomes an institutional resource of CHAMP. CCFLA and Viable Cities transition into technical partners responsible for initial content development and continued expert engagement.

Function	Lead	Supporting stakeholders
Governance and ownership	CHAMP Secretariat	CCFLA, Viable Cities

Content development	CCFLA, Viable Cities	CHAMP partners
Hosting and maintenance	CHAMP Secretariat	CCFLA, Viable Cities
Content management and updates	CHAMP Secretariat	Technical partners
Outreach and dissemination	All Stakeholders	
Country-level utilization	National government representatives (CHAMP focal points)	Subnational government representatives (via C40/GCoM)

Potential advantages:

- Positions the Toolkit as an official CHAMP implementation resource, strengthening long-term institutional legitimacy and visibility
- Integrates the Toolkit into broader CHAMP coordination and engagement processes

Common elements across both scenarios

Regardless of the governance model adopted, the Toolkit would:

- Be co-created with CHAMP partners
- Remain a living resource with periodic updates
- Incorporate implementation experiences from national, subnational and city governments
- Support continuous learning and refinement as additional country experiences emerge

Detailed structure for institutional roles and responsibilities

1. Governance and ownership

Goal: Provide long-term oversight of the Toolkit, including governance arrangements, content management, future development and partner engagement.

Required actions:

- Establish long-term governance arrangements, including roles and responsibilities across lead and supporting partners
- Establish decision-making processes for strategic direction and future development

Scenario 1 Leads: CCFLA and Viable Cities

Scenario 2 Lead: CHAMP Secretariat (WRI)

2. Content development

Goal: Develop the web-based Toolkit platform, initial content, work plan, and governance strategy, in consultations with CHAMP secretariat and partners.

Required actions:

- Conduct secondary research for Toolkit content development
- Conduct interviews and consultations with CHAMP partners and stakeholders
- Develop country journeys, case studies and implementation examples
- Develop the web platform and user experience through iterative feedback
- Prepare supporting documentation and communication materials for Toolkit launch

Scenario 1 and 2 Leads: CCFLA and Viable Cities

3. Platform Hosting and maintenance

Goal: Ensure the Toolkit remains accessible, functional and technically maintained as a long-term digital resource.

Required actions:

- Host and maintain the web-based Toolkit platform, ensuring the platform remains accessible, functional and secure.
- Coordinate technical maintenance and platform improvements
- Publish new Toolkit releases and UI/UX updates

Scenario 1 Leads: CCFLA and Viable Cities

Scenario 2 Lead: CHAMP Secretariat

4. Content management and updates

Goal: Maintain the relevance, quality and applicability of Toolkit content over time.

Required actions:

- Manage periodic reviews and updates of Toolkit content and Action Pathways to reflect evolving CHAMP priorities and partner feedback
- Incorporate new country experiences, e.g., multilevel governance innovations, and financing and implementation approaches
- Maintain consistency, quality and coherence across Toolkit content

Scenario 1 Leads: CCFLA and Viable Cities

Scenario 2 Lead: CHAMP Secretariat

5. Outreach and dissemination

Goal: Build awareness and promote uptake of the Toolkit across the CHAMP ecosystem.

Required actions:

- Position the Toolkit as a practical implementation resource for CHAMP.
- Coordinate Toolkit launch and dissemination through CHAMP engagement opportunities, including COP31 and beyond
- Promote the Toolkit through partner networks, events and capacity-building activities
- Encourage national and subnational governments and partner organizations to integrate the Toolkit into their programs and initiatives
- Strengthen coordination with complementary CHAMP initiatives and resources.

Scenario 1 and 2 Leads: CCFLA, Viable Cities and the CHAMP Secretariat

6. Country-Level Utilization

Goal: Utilize the guidance and action pathways provided in the toolkit to strengthen multilevel governance, finance and investment at the country-level

Required actions:

- Apply the Toolkit guidance within national and subnational climate-related governance, finance and implementation processes
- Provide feedback on Toolkit usability, relevance, and applicability across different governance and financing contexts
- Contribute implementation insights, governance lessons and financing innovations back into the Toolkit to support continuous refinement

Scenarios 1 and 2 Lead: National Governments (via CHAMP focal points)

Future Engagement and Consultations (*subject to agreement and funding*)

Following the development and launch of the Toolkit, its continued evolution could be supported through ongoing engagement with CHAMP partners, national, subnational and city governments, and other implementation stakeholders. The scope and frequency of these activities will depend on the agreed governance arrangements, institutional ownership and availability of funding (see section 6 above).

Potential engagement activities may include:

- Periodic consultations with CHAMP partners to review Toolkit content, identify emerging Action Pathways, validate implementation guidance, and prioritize future updates. These consultations could be organized through the CHAMP Finance Working Group and relevant partner meetings and events.



- Contributions from national and subnational governments, cities and partners, coordinated through the CHAMP Secretariat (e.g. through periodic calls for contributions and/or CHAMP workshops). Contributions could include implementation experiences, case studies, governance innovations, financing approaches and lessons learned to inform future Toolkit updates

Action 5: Mobilize Finance, Shape Local Markets and Deliver Investment Portfolios

This section will include guidance and tools for national, subnational and city governments to mobilize and deploy catalytic funding to test and scale solutions, de-risking mechanisms to support urban climate projects and shape local markets using aggregated procurement.

Systems Logic: Implementing portfolios and pipelines often requires interconnected financing, implementation and market-shaping mechanisms operating together as part of a system. Catalytic and de-risking finance mechanisms can help mobilize investment, while systemic portfolio implementation environments and local climate investment structures and collaborative implementation environments can support coordinated delivery of investments. Procurement complements financing by creating credible demand conditions that allow new solutions to move from demonstrations and small-scale deployment toward wider commercial adoption.

Action pathways:

5.1. Local Climate Finance Vehicles and Catalytic and Derisking Mechanisms

Overview

What it is: Local climate finance vehicles can be understood as a range of financing arrangements that help municipalities mobilize and deploy capital for climate and transition investment. This could include pooled municipal borrowing facilities, trust funds, special purpose vehicles for projects requiring off-balance sheet and blended finance, green or sustainability-linked bonds etc.¹⁰⁰ Their purpose is to create a local mechanism for cities to mobilize and deploy climate finance from multiple sources, including national governments, donors or private financiers.

Implementation Guidance: Developing local transition finance structures entails the following process that multilevel actors can utilize:

- Build on the climate investment plan and the portfolio, then match each project to the right local financing structure.
- Use SPVs and labelled bonds for large infrastructural investments, and local trust funds for smaller neighbourhood or nature-based projects¹⁰¹
- Arrange the financing structure in a way that the government ring-fences, de-risks and backs the investment, while banks, institutional investors, corporates or other investors

¹⁰⁰ Interview with Björn Lundqvist, Matt Sundström and Númi Östlund

¹⁰¹ Based on the interview with Björn Lundqvist



provide the finance and technical assistance and additional de-risking where needed.¹⁰²

- Develop long-term partnerships with donors, governments, DFIs and investors to continually capitalize the investment vehicle/structure based on the risks, returns and investor appetite.¹⁰³

Why it is important: In many contexts, the challenge in implementing local climate investments is often not a shortage of capital but matching it to the right portfolio.¹⁰⁴ Local transition finance vehicles and structures can help bridge this gap by connecting portfolios with available capital and can take different forms depending on local government capacity, governance and market conditions.

¹⁰² Based on the interview with Björn Lundqvist

¹⁰³ Synthesis based on the interview with Björn Lundqvist - "private investors are willing to participate if the risk is well-structured"

¹⁰⁴ Synthesis based on the interview with Björn Lundqvist - "there are plenty of funds available but matching those to local projects is the harder part."

Annex 1: Detailed Workplan and Timeline

Activities and Milestones	Timeline
- Develop the Toolkit storyboard - Viable Cities sync - Climate City Contracts - Develop the first draft of the web Toolkit platform - Conduct initial Toolkit desk research and content mapping Milestone: Toolkit Zero Draft (prototype without finalized content)	March - April
- Develop the strategy first draft - Prepare for advisory board discussion - CCFLA internal review (zero draft)	4-8 May
Continue developing the strategy	11-15 May
Viable Cities advisory board - System Demonstrators advisory board meetings - CCFLA design team discussion - introduction to the Toolkit	18-22 May
CHAMP Secretariat/partner sync - strategy and governance Viable Cities sync: feedback on the strategy	25-29 May
- Develop interview questionnaires - Revise the strategy based on feedback	1-5 June
- Finalize interview questionnaires CHAMP Steering Committee (10th June) - Olle to propose the Toolkit	8-12 June
Revise Toolkit strategy	15-19 June
CHAMP Engagement - Position the Toolkit and showcase the prototype at LCAW Interview 1 - Viability Fund for Cities [26 June]	22-26 June
Interview 2: Local Climate Investments [Bjorn] Interview 3 - Climate City Contracts [Investment Planning, Joint Commitments] and Samordningsfunktioner team [intermediary coordination unit] Interview 4: Local Climate Investments [Numi and Matt] - Revise Toolkit strategy Milestone: Toolkit Strategy with the outline, work plan and timelines	29 June-3 July



Activities and Milestones	Timeline
- Synthesize interview insights, - Begin literature review and content development	6-10 July
Interview 5: First Movers Coalition [with Daniel; 17 July] - Synthesize interview insights	13-17 July
- Synthesize interview insights - Continue literature review and content development - CPI design sync	20-24 July
Continue literature review and content development	27-31 July
- Discuss and invite feedback at the CHAMP FWG meeting [TBC] - Synthesize workshop feedback	3-7 Aug
Interview 6: System Demonstrators and implementation ecosystems [with Olle] - Synthesize interview insights - Continue literature review	10-14 Aug
- Finalize literature review, including governance mapping, transferability analysis - Begin developing first draft of the toolkit integrating interviews insights and research	17-21 Aug
Continue the first draft of the toolkit, integrating literature review, mapping and transferability analysis	24-28 Aug
- Finalize the first draft Milestone: Toolkit first draft with literature review, governance mapping, transferability analysis	31 Aug-4 Sep
- CCFLA internal technical review Viable Cities review	7-11 Sep
- CCFLA internal technical review [contd.] Viable Cities review [contd.]	14-18 Sep
Integrate review feedback	21-25 Sep
- Comms review CHAMP Secretariat/partner sync - discuss hosting logistics [TBC]	28 Sep-2 Oct
- Develop the second draft, integrating comms feedback Milestone: Toolkit second draft	5-9 Oct
CHAMP secretariat/partner sync - discuss second draft and remaining logistics [TBC; if needed] - Make final refinements to the draft [content/documentation/code etc.]	12-16 Oct



Activities and Milestones	Timeline
• Make final refinements to the draft [content/documentation/code etc]. • Outreach/comms materials developed [social media posts, graphics etc.]	19-23 Oct
• Publish the Toolkit; hand over to Viable Cities • Milestone: Toolkit published	26-30 Oct
• Pre-COP dissemination on social media	2-6 Nov
• Milestone: Launch the Toolkit at COP31 [e.g. at the CHAMP High Level Political Dialogue]	9-20 Nov

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